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Argentina – Crisis and Poverty 2003
A Poverty Assessment

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Exchange Rates

1990-2001: US$1.00 = A$1.00 (peso)
2002 (period average) US$1.00 = A$3.1
December 31, 2002 : US$1.00 = A$3.4
April 15, 2003: US$1.00 = A$2.9

Acronyms

A$	Argentine peso
CPI	Consumer Price Index
EPH	Permanent Household Survey (*Encuesta Permanente de Hogares*)
GBA	Greater Buenos Aires (*Gran Buenos Aires*)
INDEC	National Institute of Statistics and Census (*Instituto Nacional de Estatisticas y Censos)*
INSSJyP	The Social Security Institute for Retirees and Pensioners (also known as PAMI)
PAI	Program for Immunizations
PAMI	The Social Security Institute for Retirees and Pensioners (also known as INSSJyP),
SIEMPRO	Monitoring and Evaluation Unit, Ministry of Social Development (*Sistema de Información, Monitoreo y Evaluación de Programas Sociales*)
TSS	targeted social spending

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Argentina – Crisis and Poverty 2003
A Poverty Assessment

EXECUTIVE SUMMARY

The Economic Crisis and the Poor

Argentina has gone through a major crisis in the past year, resulting in severe social dislocations and a reduction of welfare by its poorest. The collapse of the Convertibility Plan, the freezing of bank deposits, and the default on foreign debts and the resulting high inflation, falling output and exchange rate devaluation, carried with it severe consequences for the poor. The rate of poverty as traditionally measured rose from 37% in 2001 to a peak of 58% by the end of 2002. The numbers of people living below the indigence line doubled. Income distribution worsened, suggesting that the poorest segments of the population suffered more than the more well off. Unemployment rose, but not nearly as much as expected, perhaps because of the mitigating effects of government employment programs. Nevertheless, the rate of unemployment continues to be high at 18%. The sharp rise in poverty in great part has been due to the rise in the prices of foods, a major portion of the expenditures of the poor. Unlike other economies, foods are an important export in Argentina, and their prices rose with the devaluation.

The break with the Convertibility Plan also meant that the adjustment in the labor market occurred more through wages, rather than by an increase in unemployment. Inflation reduced real wages substantially. Unlike previous recessions, moreover, unemployment arose largely from the formal sector, with an increase in employment in the informal sector. In previous recessions, most of the unemployment came from the informal sector. Thus, the informal sector acted as a type of cushion for cutbacks in the formal sector. However, the jobs created in the informal sector in this case tend to be temporary, low paid jobs that effectively obscure the depth of the crisis. While employees in the formal sector were entitled to severance payments under the labor law, there is evidence to suggest that they received amounts substantially less than their entitlements as employers negotiated partial settlements.

The impact of the recession has been difficult for many groups. Many of the middle class, faced with both declining wages and freeze on bank assets, moved into poverty for the first time. These "new poor" have characteristics somewhat different than the traditional poor, including higher levels of education. In addition, they appear to have a more difficult time adjusting to new circumstances. Interviews with civil society organizations representing the poor point to higher levels of family violence, alcoholism, and crime. Families appear to cope through a variety of strategies, including increased production of goods in the home, the entry into the workforce of those not previously employed, and reduced consumption of food and other products. In addition, they often substituted toward the purchase of cheaper goods and lower cost foods. Expenditures on school materials were often reduced, and while enrollments have not declined there may be a decline in attendance. In many cases, the poor have purchased through delayed payment schemes and/or raised money by selling assets.

The Government Response

The Government has made a major effort to maintain or expand social spending, particularly social spending targeted to the poor (safety nets). Total social spending has increased as a share of the budget, but declined 32% in real terms. For spending targeted to the poor, spending has been increased by 21 percent, a considerable achievement considering the budgetary problems facing the Government during the crisis. In addition, it is in marked contrast to previous recessions when social spending for safety nets was actually reduced. However, the large increase in the numbers of poor people during the crisis means that real spending *per poor person* has actually declined by 16%. The Government has made a major effort to organize a new workfare program, the *Plan Jefes*, which provides a payment of A$150 per month for those engaged in community work or training. This program presently has about 2 million beneficiaries, and may be the explanation of why unemployment declined between May and October 2002.

Budget cuts have had serious consequences in the social sectors. In education, spending designed for investments in improved services have been diverted to shorter-term safety net programs, such as school feeding. Shortages of funds have produced teacher strikes and the interruption in learning. In some cases, teachers have been paid with provincial government issued quasi-money instruments. The severe budget problems have prevented the continuation of the education reform strategy launched by the Government in 2000. In the health sector, the health insurance system which depends on wage contributions from formal sector workers, has seen major reductions in revenues. As a result, health providers (the *obras*), have not been able to provide the mandatory health benefits. Revenues for the PAMI, the health system for retirees, have fallen by 40%, also resulting in cutbacks. The result has been an increase in the demand for services from public hospitals, which normally provide services to those without health insurance coverage (workers in the informal economy). The public hospitals, which are generally run by the provinces, have already seen a reduction in funding from both provincial sources and federal transfers. Household surveys also reveal that many people are spending less on preventive care, such as taking children for immunizations and checkups. More broadly, the use of quasi-monies for the payment of pensions and public wages has often resulted in reductions in real incomes, since many of these provincial quasi-monies have been trading at a discount.

The tariffs for basic utility and transportation services were 'pesified' (fixed in peso terms) and have remained frozen since January 2002, in contrast to other basic goods whose costs have risen on the order of 30% on average. Nonetheless, as a result of falling incomes, the poorest households face significant problems in affording these basic services. The first quintile is currently spending 22% of its income on water, energy and telephone calls, while about 20% to 25% of these households report having been disconnected from electricity and telephone as a result of non-payment. At the same time, the policy of freezing tariffs threatens the financial sustainability of the infrastructure service providers, who have already defaulted on about half of their US$16 billion stock of foreign currency denominated debt. Some tariff increase for these services therefore appears to be inevitable, and raises further concerns about affordability.

Reversing the Trends – Policies for the Immediate Future

A recovery of the economy has begun, but the future remains uncertain. While other countries have had robust recoveries from crises, such recoveries take a year or two to develop. At the same time, the crisis itself constrains the actions of the government in terms of how it might respond to the social problems created by the crisis: resources are scarce and options are limited.

Macro Policies. Clearly, the root cause of the recent growth in poverty and unemployment can be traced to the problems of weak economic management, and the consequent slow economic growth. A primary concern is to find policies that will stimulate a rapid and sustained recovery, but in a way that also increases employment of low-skilled poor people. These policies include strengthened public finances, improved governance, providing a clearer regulatory environment for the private sector, restoring a healthy banking system, and clearing public sector arrears and normalizing relations with external and domestic creditors.

The move to a floating exchange rate, and the consequent reduction in real wages, has provided the basis for a potential recovery. The reduction in real public sector wages and pension obligations with inflation, while nominal revenues increased, has temporarily provided for an improved fiscal balance. The government, however, still faces serious issues in fiscal and financial sector management. Past actions, including the freeze on deposits, and the break of the dollar-peso link, have reduced faith in the financial system and eliminated the sources of credit needed to finance a recovery. While the Government has lifted the freeze on checking and savings deposits (the *corralito*), the financial system remains weak. The task of generating a adequate revenues to cover the costs of the financial sector while providing social services will be difficult without efforts to broaden the tax base and better enforce existing tax obligations. Of particular importance in the longer term would be a strategy of moving away from the regressive value-added tax to greater reliance on a progressive income tax. A stronger tax base would also permit a reduction in taxes on some key factors (exports, labor) while permitting an expansion of social programs while maintaining a balanced budget. Overall, good macro policies, leading to sustained growth, remain the single best route to poverty reduction.

Safety Nets/Severance Payments. Government programs still do not provide an adequate safety net for the unemployed on a permanent basis. Workers have had to rely on their own savings, and their severance payment benefits, as their major safety net. During the past crisis we have seen that both were inadequate: savings accounts were frozen, and severance benefits were reduced through negotiations between workers and employers. Emergency public programs have helped. However, while the expanded *Jefes* program has absorbed 2 million unemployed, and it accounts for 7.5% of the current expenditures of the national government, it has reduced unemployment by at most 4 percentage points (assuming that all entrants to the *Jefes* program were unemployed before, which is not true). In general, social expenditure programs still tend to fall with a crisis, just when the numbers of poor and unemployed increase. However, it is also true that social programs, once established, tend to be viewed as an entitlement, and are difficult to cut once a recovery takes place. Safety net programs are scattered across the government, and many programs are costly and duplicate other programs. Smaller, inefficient programs should be combined.

A major safety net for workers in the formal sector is the severance payments owed to formal-sector workers upon job termination. For bankrupt firms, it is likely there could be no payment at all since these obligations are not pre-funded. A better solution would be a major expansion in unemployment insurance, with either a fixed benefit, or a benefit based on some proportion of average wages, and a fixed limit on total payments. Any such reform should be extended to include more of the employees now in the informal sector, who have neither severance payments nor unemployment benefits and are outside of the social security system. Such an extension, however, implies that these employees move from the informal to the formal system, and pay social security and other wage taxes, and are covered by the labor code. This would further reduce labor market flexibility, given the rigidities inherent in the present labor code. Thus, unemployment insurance reform should be accompanied by the liberalization of the labor code, which itself will bring benefits in making the labor market more flexible, and reducing labor costs.

Education. The provision of educational services needs to be maintained, particularly with regard to payment of teachers, as the welfare effects go beyond the immediate income levels of teachers. While demand for social assistance (cash and food transfers) has accelerated, diversion of education funds to provide these short-term needs may conflict with the need to reach educational objectives. While cash-transfer programs may be helping to maintain school attendance, their effectiveness needs to be evaluated against other strategies for improving education. Federal government education allowances to provinces should be adjusted to insure equity between provinces, with a bias toward those with the greatest poverty. High priority should be given to the strengthening of information systems and the use of them to inform educational policy. Such measures should be complemented and strengthened through the encouragement of community participation.

Health. In the midst of the on-going social crisis, the first priority in health is to guarantee access for all of the population, particularly the poor who lack insurance and have less ability to pay, to a minimum package of treatments and medicines aimed at the major health risks. In this context, the Government should protect financing of priority programs such as those for maternal-child health, immunizations, and public health (epidemiological surveillance, control of transmittable diseases and others). More specifically, the gradual implementation of an infant and maternal health insurance and the definition of and agreement on provincial health goals (with monitorable health indicators) seem to be two key initial steps towards more effective protection for the poor uninsured.

Other needed government actions must simultaneously address chronic inefficiencies in the health sector, freeing up scarce resources to support the above and improving the effectiveness of health care for the poor. Main actions here include eliminating inefficiencies and overlaps in national-level insurance programs such as PAMI and the Obras Sociales, and in the interface between the public hospitals and the social security system (enhancing cost recovery by the former); strengthening the regulatory framework of the health sector, as well as the institutional capacity of the regulatory agencies; and improving the performance of the public hospital network, emphasizing primary health care.

Longer-Term Poverty Reduction Measures

In the longer-term, anti-poverty efforts will need to focus on two broad areas:

- First, reforms and policies that will lead to a pattern of growth that will be more rapid overall, and feature a higher level of **employment** per unit of output.
- Second, improving the access of the poor to **basic services**, that will both raise their overall welfare and, by improving their human capital, improve the productivity and their ability to compete in an increasingly globalized economy;

Generating Labor Intensive Growth. Macro-economic policies that permit rapid and stable economic growth[1] without inflation are an essential first step to a significant decline in poverty. This is more likely to happen if Argentina's labor markets operate efficiently. However, Argentina's labor market is one of the most rigid and regulated in the developing world, preventing wage adjustments from taking place easily. Some of key short term reforms that would facilitate a more orderly operation of the labor market include:

- elimination of centralized or sectoral collective bargaining agreements which are automatically extended to all workers in a sector, even if not signed and even when expired;
- reduce the high cost of labor by reducing labor taxes, including severance payments;
- allow temporary employment that is not subject to payroll taxes, as under the former *modalidades promovidas*, and
- extending programs which permit exceptions for small scale enterprises.

In the longer term, the critical problem remains that a large part of the labor force in the informal sector lacks any form of pension or unemployment insurance coverage. A major reform of the labor laws that would reduce their present high level of protectiveness should be followed by an extension of at least minimum coverage to small firms and others in the now informal sector. It would also help reduce the gap in wages between the formal and informal sectors, and thus help make more equal the present unequal distribution of income.

Increasing Access to Services. A major effort should be undertaken to raise the level and quality of **education** available to the poor, and increase their access to secondary and higher education. One of the key problems is that children of poor families are more likely to drop out of school for various reasons. A viable strategy in education would include:

- greater investments in secondary schools in poor neighborhoods;
- expanded cash grants to poor families conditional on keeping children in school particularly at the secondary level, in order to offset the economic incentives from school leaving and the effects of unemployment;
- the establishment of a system of partial cost recovery from students at public universities, who generally tend to be from non-poor families, and the establishment of a nation-wide system of scholarships for students from poor families.
- expanding the capacity of the current public university system, both by improvements in operating efficiency and through further investments.

[1] The topic of how to attain sustained economic growth, however, go beyond the scope of this report.

While the situation in **health care** is less critical, nevertheless poor, informal workers must rely on the public hospital system, while formal sector workers have health insurance. Greater efficiency in the health sector could improve the quality of service available to the poor. Particularly, the Government should focus public health care expenditures on those without health insurance, by improving cost recovery from those with insurance and the ability to pay, and by improving the operating efficiency of the public hospital system. While granting more autonomy to public hospitals can improve their efficiency, care needs to be taken to avoid building in incentives that will reduce services to the poor. Eventually, health insurance coverage should be extended to those in the informal sector not presently covered. Existing programs of maternal and child health (PROMIN) need to be expanded, and linked with family planning and reproductive health services for the poor, in order to reduce their currently high rate of fertility among the poor.

Deficiencies in **infrastructure** both reduce the productivity of the poor, and limit human resource development. The urban poor live in areas usually devoid of adequate sanitation and safe water, and often without paved roads. Provision of such public services in poor neighborhoods can improve health outcomes. But attention also needs to be focused on building up communities, especially in urban areas, that lack roads, lights, and other services, and do not have legal titles to their land. The urban poor are particularly vulnerable to problems of crime and violence, and attention needs to be paid to alcohol and drug abuse, and improvements in police protection and access to justice.

There is considerable consensus that, in order to resolve the dilemma between the affordability of basic infrastructure services and their continued financial sustainability, some kind of social policy is required to protect the poorest from the impact of any future tariff increases. Looking further ahead, as incomes recover and affordability improves, the focus of social policy for the infrastructure sectors should switch away from social tariffs and towards social connection programs, particularly in the water, sewerage and natural gas sectors, where considerable coverage deficits remain and those without access suffer substantial economic and social costs.

Policy Actions for Reducing Poverty	
Area	Actions Needed
Establishment of sustained, pro-poor economic growth	• Macro policies that will provide a stable environment for private sector-led growth, including a healthy financial system, and an efficient regulatory network for infrastructure. • Improving the fiscal base to be able to fund social programs directed at the poor, and moving away from the regressive value-added tax to a more progressive income tax.
Establishment of a strong safety net	• Providing for a more secure form of unemployment compensation, such as unemployment insurance or pre-funded severance payments. • Improved evaluation of existing safety net programs, and consolidation/closing of weak and ineffective programs. • Reforming the labor code to make it more flexible, and thereby allow an extension of coverage to those in the informal sector.

Improving education, health and infrastructure services	• *Health:*
	  o Protect and restore key programs benefiting the poor
	  o Develop health insurance for people in the informal sector, esp. maternal/infant
	  o Eliminate inefficiencies and overlap between systems
	  o Increase the efficiency and autonomy of public hospitals
	• *Education:*
	  o Maintain payments for teachers and operating costs
	  o Focus provincial allocations on the poorest regions
	  o Increase investments in secondary schools
	  o Provide increased cash grants to poor families to promote secondary school attendance
	  o Expand the public university system
	• *Infrastructure and other Services*
	  o Expand basic infrastructure in poor urban areas, including water, roads, electricity;
	  o Adjust pricing of infrastructure services to benefit the poor;
	  o Take steps to reduce crime and violence in poor neighborhoods.

ARGENTINA : CRISIS AND POVERTY 2003

CHAPTER 1

THE EVOLVING CRISIS AND THE POOR

Background

Since the last Poverty Assessment was written (March 2000),[2] Argentina has gone through a severe economic and financial crisis. After three years of continuing recession, the economic and financial crisis deepened during 2001. Various attempts were made throughout 2001 to spur growth as a prelude to improved public finances and the debt profile but to no avail. Market perceptions of risk of default increased, especially in mid-2001. Efforts to protect the banking system from wide-spread withdrawal of deposits (the *corralito*) resulted in strangling of liquidity and economic activity and generated popular discontent. This finally culminated in the resignation of then President de la Rua in December 2001, a quick succession of appointed Presidents, a formal announcement of default on public sector borrowings, and in early 2002, the abandonment of the Convertibility Plan.

Now in its fourth year of recession, the economy in 2002 is estimated to have declined by 10.9 percent, bringing the decline in GDP to over 20 percent since its 1998 peak. With the peso depreciating sharply since its float Argentina is experienced significant inflation for the first time since 1991. Between the decline in economic activity and the currency's depreciation, per capita GDP has declined sharply, to an estimated US$2,695 in 2002 (down from US$8,210 at its peak in 1998).

The previous Poverty Assessment focused on the period between 1990 and 1998. During that period, the government's stabilization plan, including the convertibility plan for the peso, generated economic recovery, stable prices, and declining poverty up to 1995. Between 1995 and 1998, poverty rates and unemployment rates both rose, and income distribution deteriorated. On the basis of major urban cities, the poverty rate went from more than 40 percent in 1990, to a low of 22 percent in 1994, to 29 percent in 1998.

[2] World Bank. 2000. "Argentina: Poor People in A Rich Country." Report No. 19992-AR. Available on the web at http://www.worldbank.org/lac, search under Argentina.

The Relative Size of the Argentine Crisis in 2002.

The table below shows some indicators for various countries in crisis, including Mexico during the Tequila Crisis, Four of the East Asian Tigers during the crisis of 1997-98, Russia in 1998/99, and Argentina itself in 1995. In comparison with these crises, Argentina is second only to Indonesia in terms of decline in GDP and the drop in real manufacturing wages, ranks first in terms of the drop in the exchange rate, and one of the highest in terms of the resulting rate of unemployment and increase in poverty.

Table 1.1 Comparative Statistics on Growth and Poverty During Crises

Country	Year	GDP growth	Change in X-Rate	Unemploy. Rate	Growth in Man Wages	Poverty Rate(after crisis)	Change in Poverty Rate
East Asia Crisis:							
Indonesia	1998	-13.1	70.9	5.4	-44.0	13.8	20.3
Korea	1998	-6.7	32.1	6.8	-9.8	7.6	64.4
Malaysia	1998	-7.4	28.3	3.2	-2.7	10.4	21.2
Thailand	1997	-1.4	19.2	3.7	-6.3	12.9	24.0
Tequila Crisis:							
Argentina	1995	-2.8	0.0	16.2	-1.9	27.6	22.8
Mexico	1995	-6.2	47.4	5.7	-18.5	53.3	23.7
Others:							
Russia	1998/99	-4.9	60.6	13.3	N/A	N/A	N/A
Argentina	**2002**	**-10.9**	**210.0**	**17.8**	**-21.9**	**57.5**	**50.1**

Source: Fallon and Lucas (2002), and World Bank staff estimates.

Clearly, this situation, which was not very good in 1998, has become even more difficult as of 2002. Preliminary evidence shows that poverty now (October 2002) has reached the level of about 58 percent for urban areas (see figure 1.1).[3] Unemployment has risen from 13 percent in 1998 to a peak of 22 percent in May 2002 (in urban areas). Compared to other countries experiencing crises, the parameters for Argentina are more severe than most in terms of poverty, unemployment and falling wages (see box and Table 1.1). Falling revenues have further cut social programs, adding to the poverty of the poorest, and leading to increasing social unrest, crime, and violent political demonstrations. Growing uncertainty has led to a decline in foreign direct investment and a cut-off in access to foreign capital, further reducing the prospects for long-term growth and recovery.

This report will not attempt to cover all of the ground in the original Poverty Assessment[4]. Rather, it will focus on broad topics that are relevant to the current crisis:

- First, it will examine the trends in poverty, income distribution, and unemployment.
- Second, it will look at how people have adjusted to the crisis, how it has affected the poor, and what types of coping strategies they are using.
- Third, it will look at how the crisis has impacted government spending programs, particularly those considered to be pro-poor and that constitute the social safety net.
- Finally, it will look forward and suggest what might be done better in the future to reduce poverty

[3] Data since 1998 uses a poverty line developed by INDEC.
[4] For a summary of the original poverty assessment, see box.

Summary of the Poverty Assessment of 2000

This report found that since 1991, Argentina had gone through a period of adjustment that had led to a remarkably sharp drop in rate of inflation, the privatization of state-owned industries, and the opening of the economy to foreign commerce. Progress on the economic front produced real gains in terms of reducing poverty and improving welfare. Poverty rates fell from 40% in 1990 to a low of 22% in 1994. However, since 1995 poverty had grown slightly as a percentage of the population, and income distribution had deteriorated. By 1998 the poverty rate for urban areas was estimated to be 29%. The deterioration of income distribution reflects the fact that while overall growth had been positive, and average per capita income had risen, the gains had gone largely to the more skilled and educated in the labor force, and not to the poor.

The report noted that, in general, poor families have low levels of education, have a large number of dependents, and are younger than families that are not poor. Large family sizes are the result of much higher fertility rates among poorer women, a factor that tends to perpetuate poverty. They live in areas lacking often in water and sanitation services, roads, and other public amenities, live in areas affected by flooding, and live in overcrowded conditions. The often lack titles to the land they inhabit, and therefore lack the incentive and the collateral to invest in their housing. The distribution of urban services is uneven between urban areas; some seem to do a better job than others in meeting these basic needs.

The report found that Government programs that were specifically targeted to the poor generally worked well, and were well targeted. The more general problem was one of coverage. Only about 25% of poor families received any form of direct public assistance, in the form of cash, food, etc. The report estimated that public and private transfers together probably reduced overall poverty by 4 percentage points, and were particularly important for the elderly.

Shifting demand for labor had put a high premium on education. While rates of return to primary education were extremely low (about 3%), returns to tertiary education was estimated to be 29% (1998). Despite these high returns, the poor often did not complete secondary school and were underrepresented in higher education. Repetition rates were high, as were dropouts. Only 24% of those aged 18-24 among the poor we found to have a secondary education. The low quality of education, particularly in poorer areas, and the need to work, all worked against school completion.

The report noted that limited information available suggested that there was substantial poverty among the rural population, particularly in the Northwest and Northeast. Most of these poor were not farmers, but farm and non-farm workers who were often unemployed and lack skills and education. The indigenous people of the rural areas seem to be particularly poor, since they live in remote areas away from public services.

Source: World Bank (2000) *Poor People in a Rich Country: A Poverty Report for Argentina*, World Bank report no.199962-AR, March 25, 2000

Poverty Trends

Poverty is measured using the government's poverty line and the *Encuesta Permanente de Hogares*, the biannual household survey covering about 30,000 urban households. Data for individual urban areas are combined to produce a national urban poverty estimate, but these urban areas themselves cover only about 70 percent of the urban population. Thus, the surveys leave out the population in smaller urban places and all of the rural population, much of which

Poverty Lines in Argentina

This report classifies the poor with the income thresholds that INDEC has adopted as its official poverty lines since their first introduction in 1988. Poverty lines consist of the basic food basket and nonfood consumption bundle whose combined values are just sufficient to allow a typical individual to achieve a minimum level of material welfare. The basic food basket was constructed by looking at the food consumption patterns of a reference household group between the 2nd and 4th income deciles in the 1985–86 Survey of Income and Expenditure administered for Metropolitan Buenos Aires (GBA). The indigent food line is the value of the basic food basket that would allow a representative adult male age 30–59 years with moderate activity level to achieve consumption of a daily energy intake of 2,700 calories. Updated for 2002, the adult equivalent indigent line for residents in Metropolitan Buenos Aires is estimated to be 81.8 pesos per month in April 2002 (or about US$28.80). Observation of nonfood consumption among households in the same group gave the empirical parameter (inverse Engel coefficient) to estimate the adult equivalent poverty line, which was estimated to be 193.8 pesos per month (or about US$68.23; all conversions are at the April 2002 exchange rate of 2.84 pesos per dollar).

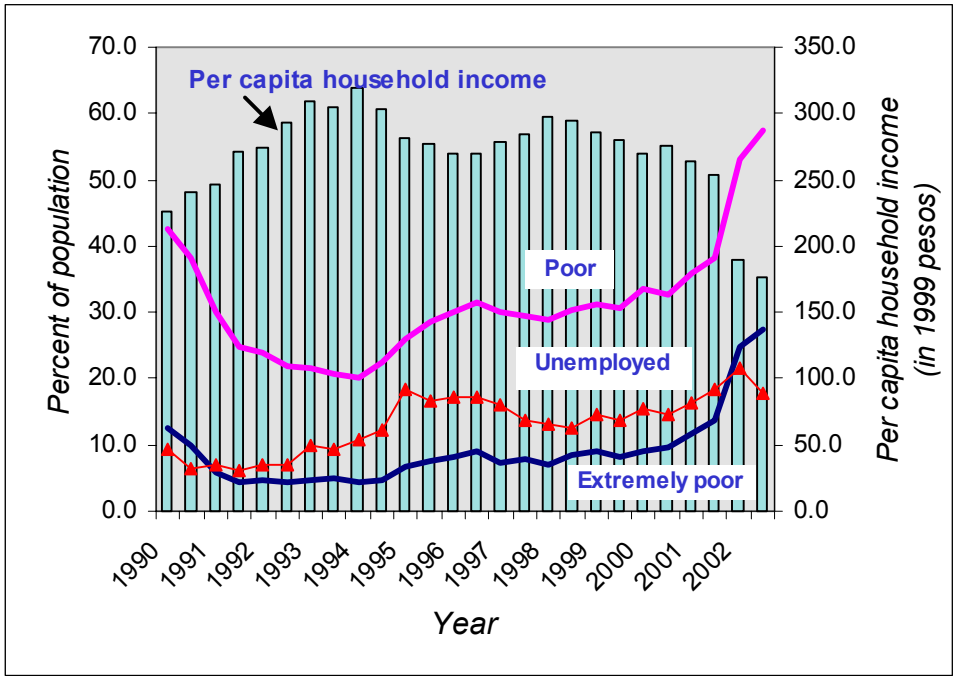
probably has a higher than average poverty rate[5]. Despite improvements in poverty measurement in the past, Argentina still lacks a comprehensive living standards survey that adequately covers rural and urban areas. In addition, all of the numbers on poverty reported here have the drawback of being based on income. It is widely recognized that consumption is a better basis for measuring welfare, since it allows for inter-temporal adjustments, and is more accurately measured than income.

Between 1998 and 2001, there was a steady increase in both poverty and unemployment. The poverty rate rose from 28 percent of the population in May 1998 to 37 percent by October 2001, as the economy stagnated and the economic/financial crisis gradually worsened (see Figure 1.1 and Statistical Annex Table A.1). Likewise, unemployment rose from 13 percent to 18 percent. The collapse of the convertibility plan, major exchange rate devaluation, and default on external debts in January 2002, however, produced a sharp and sudden increase in poverty. By October 2002 the poverty rate reached 58 percent (see Fig. 1.1). Unemployment peaked at 22% in May, but declined to 18% in October. At the same time, extreme poverty, defined as those without sufficient incomes to buy a basic basket of food, has gone from 6 percent to 28 percent. Few countries in the world have seen such a rapid rise in poverty—an increase in the poverty rate of more than 50 percent. Of particular interest is that the implied poverty elasticity, which was estimated to be about—1.8 in the 1998 report, appears to be about—3.0 during the crisis.[6]

[5] A limited survey of 2,800 household undertaken by the World Bank in 2002 found a poverty rate of 53 percent in urban areas and 73 percent in rural areas (see Fiszbein, Giavagnoli, and Anduriz, November 2002. "Argentina's crisis and its impact on household welfare", Background Paper No. 1, found in Part II of this report.)

[6] Assuming –11 percent growth in 2002 and population growth of 1.3 percent, per capita income will have fallen about 12 percent. Assuming an average poverty rate for the year of 55%, the rate then increased 49 percent, or an implied elasticity of about –4.1. The estimate of –1.4 is based on the longer, 1990–98 period. This illustrates the danger, however, of using a fixed poverty elasticity based on historical relationships for estimating short-term impacts of macro crises.

Figure 1.1. Unemployment and Poverty as Percentage of Population, and Real Per Capita Household Income, 1990–2002



The sharp rise in poverty can be attributed to two broad effects: higher prices as a result of the devaluation, particularly in food and other wage goods, and unemployment. Unlike other countries, where basic foods are not traded commodities, in Argentina basic foods are traded, and thus the devaluation had a direct impact on living costs. Poor people, with high levels of food in their consumption basket, were affected particularly hard. Thus, the poverty line for Buenos Aires increased between April 2001 and April 2002 by 26 percent, while the indigence line (purely food) went up by 29 percent. By contrast, the total consumer price index went up by only 18 percent in the same period. Kritz[7] estimates that every point rise in the price index for the basic food basket produces 50,000 more indigent poor in the country. Furthermore, he estimates that the decline in real income between May 2001 and May 2002, 30 percent can be explained by the fall in employment, 20 percent by a decline in nominal wages (including fewer hours worked), and 50 percent by the increase in prices (see figure 1.2).

[7] Ernesto Kritz, December 2002, "Poverty and the Labor Market in the Argentine Crisis, 1998–2002," Background Paper No. 4, Part II.

While all incomes have fallen, the incomes of the poorest groups have declined more than those of the richer groups. Thus, the tendency for income distribution to worsen, noted in the 2000 report, has accelerated during the crisis. As shown in table 1.2, the share of the top 20 percent income distribution has risen from 54.8 percent in 1998 to 57.2 percent in October, 2002. Conversely, the share of the poorest 20 percent has fallen from 3.8 percent to 2.8 percent.[8] The Gini coefficient has risen from 0.504 to 0.532, placing Argentina near the middle of the list of Latin American countries ranked by income distribution (see table 1.3). Because the Argentine data exclude rural areas, which are generally poorer, the status of Argentina with respect to other countries is probably understated in this table.

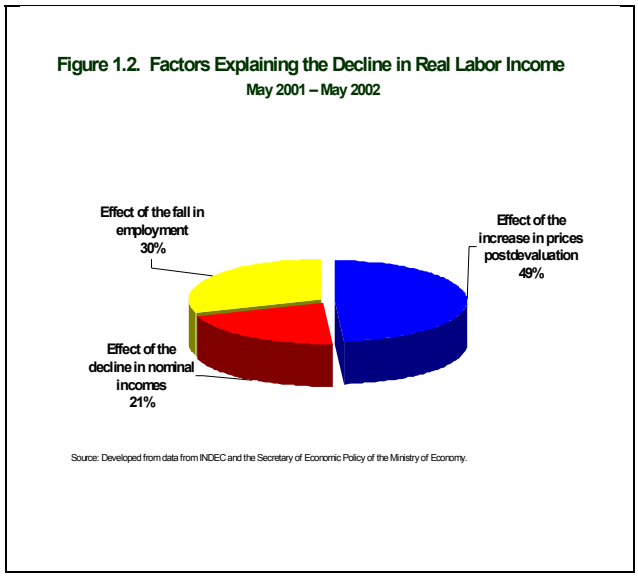


Table 1.2. Income and Income Distribution, 1990–2002

Year	1990	1992	1994	1996	1998	1999	2000	2001	May 2002	October 2002
Per capita income by decile (in 1999 pesos)										
1st decile (lowest)	38.3	45.6	43.2	28.1	31.7	30.4	26.3	17.1	9.0	16.1
5th decile	153.4	181.1	188.1	158.1	167.3	164.2	155.1	136.3	97.9	95.8
10th decile	825.4	1,004.7	1,060.7	992.3	1,114.2	1,028.2	1,041.9	993.8	769.9	705.3
Relative measures										
Top 20% share	50.7	51.0	51.6	53.7	54.8	53.8	55.1	56.8	58.2	57.2
Bottom 20% share	4.6	4.5	4.2	3.6	3.5	3.5	3.2	2.6	2.1	2.8
Gini coefficient	0.454	0.456	0.467	0.493	0.504	0.494	0.510	0.530	0.551	.532
Top/bottom 20% ratio	11.0	11.3	12.3	14.9	15.7	15.4	17.2	21.8	27.7	20.4

Source: staff calculations from EPH surveys; for October of the relevant year.

The potentially explosive situation with regard to income and income distribution can be better measured by considering the actual real incomes of each income group. As shown in table 1.2, the real incomes of the lowest 10 percent have fallen 49 percent since 1998. The richest 10 percent have experienced a decline in income of 37 percent. In both cases, most of the decline has come just in the last year. Of particular interest is the very major change between October 2001 and May 2002, when income distribution worsened, and then the subsequent improvement between May 2002 and October 2002. Over this period, the income of the lowest 10% fell 47% in real terms, and then increased by 79% (see Table 1.2). It is impossible to identify exactly what caused these sudden movements, but the implementation of the Government's *Plan Jefes* program, which provides income supplements of A$150 /month to about 2 million people might explain part of this the sudden improvement.

[8] These are based on the data for October from the Encuesta Permanente de Hogares (EPH) surveys.

It is important to note that the discussion of income distribution does not consider the impact of any changes in the value of assets. With the freeze on bank deposits many people were unable to withdraw their funds, which were subsequently eroded by inflation. Those holding dollar deposits saw their deposits converted into pesos. Thus, many of the non-poor who depended on savings in banks as a type of self-insurance against risks, found that they were unable to use their personal safety net. The middle class were also affected by defaults on bonds, and declining real estate prices. Since the poor have few, if any, bank deposits/ bonds/ real estate they may have been isolated from some of the worse aspects of these adjustments. But these factors could be important for the middle-class who are now poor, or the "new poor". There is some evidence to suggest, furthermore, that large depositors were able to foresee the coming devaluation and make adjustments, while small depositors got caught by the *corralito* and the devaluation. It is difficult to say, however, how many of these small depositors were poor.[9]

Table 1.3. Gini Coefficients for Various Countries (data for 1998 income, unless stated otherwise)

Country	Gini
Latin America	
Brazil	.61
Colombia*	.58
Chile	.57
México	.53
Argentina (urban, 2002)	**.53**
Venezuela	.50
Dominican Republic	.47
Uruguay (urban)	.43
Other countries	
France (1995)	.33
Russian Federation	.49
Japan (1993)	.25
United States (1997)	.41

* consumption data

Source: World Development Indicators, 2002 (World Bank, Washington D.C.), table 2.8, except for Argentina which is based on Bank staff calculations for 2002, and Uruguay, which comes from the most recent poverty report of the World Bank (Report No. 21262 UR).

Table 1.4 Poverty Profile in Urban Argentina, 2002

	Poverty Group			Overall
	Indigent	Moderate poor	Non-poor	
Family size	4.9	4.0	2.7	3.5
Adult equivalent family size	3.8	3.2	2.2	2.8
% female-headed households	24.0	22.8	32.1	28.1
Average age	23.3	29.2	38.0	31.3
Years of schooling among adults aged 20 and over	7.9	9.3	11.7	10.2
Labor force participation (among those of age 15-64)	59.2	62.2	69.8	64.9
% informal sector	39.0	39.5	33.2	36.3
Unemployment rate	34.9	20.7	9.7	17.8
Hours worked	29.1	38.6	42.0	38.7
% working < 30 hrs/week	37.8	25.9	17.5	24.6

Sources: INDEC, Encuesta Permanente de Hogares (EPH), October 2002

Unemployment is clearly a phenomenon that affects poor families severely and is a major component in explaining their poverty. If we divide the population into the indigent poor (those below the food poverty line), the moderate poor (those between the indigent line and the normal

[9] See Halac and Schmukler (2003) for a discussion of these possibilities in both Mexico and Argentina.

poverty line), and the non-poor we see certain clear characteristics. The unemployment rate among the indigent is close to 35 percent, compared with only 21 percent for the moderate poor and 10 percent for the non-poor (October, 2002, see Table 1.4). While unemployment has risen since 1998 from 12 percent to 18 percent, the unemployment rate for each subgroup has remained about the same. This situation suggests that as people move down to a lower group they take on the unemployment rate of that group. Thus, total unemployment rises without a rise in the unemployment of each group. It also suggests that many of the "new poor" are working at lower incomes, and that unemployment is only part of the cause of their poverty; the other part is clearly lower incomes. There is no evidence that rising unemployment has led to lower labor force participation (discouraged worker effect). If anything, there has been a slight increase in labor force participation among the indigent and moderately poor, but the increase is only about 1 percentage point compared with pre-crisis conditions (see Table A.2).

Another important characteristics of the poor are their large family size and high dependency rates. The average family size for the indigent poor is 4.9, compared with 4.0 for the moderately poor and 2.7 for the non-poor (see Table 1.4). As a consequence, a large number of children are poor[10]. Thus, while the overall poverty rate rose from 29 percent to 53 percent over the 1998–2002 interval, the poverty rate for children (age 0 to 14 years) rose from 45 percent to 70 percent. However, it is also useful to note that female headed households tend be less poor than male headed households. But poverty seems more related to labor market characteristics; not only is the unemployment rate of the indigent poor much higher than the non-poor (see box), average hours worked are also much lower; 29 per week for the indigent compared to 42 for the non-poor. About 38% of workers in indigent poor families work less than 30 hours per week, compared to 26% among the moderately poor, and only 18% among the non-poor. Thus the poor are poor not only because they unemployed, or employed in low paying jobs, but because they cannot find enough work to fill a 40 hour week.

An important characteristic of the poor is that in both good times and bad, they face not only lower income, but also more unstable incomes. Using panel data that allow a view both forward and backwards, we can estimate deviation from mean income by income class.[11] As shown in figure 1.3, the coefficient of variation (CV)[12] of the poorest quintile have historically been higher than those of the upper quintiles. Furthermore, the gap is increasing, indicating that the income of the poor has become more unstable and uncertain now than in the past, while the income of the richer groups has maintained its relatively stability. In May 2002, the CV of the poorest group is roughly twice that of the upper income quintiles. We also know that poorer groups have more limited capacities for consumption smoothing by using credit or savings. Hence, they face low and unstable incomes with little private means of coping. While risk and poverty are related, there are differences. Education seems to reduce risk, independent of its ability to raise income. People with higher risks include migrants, households with informal

[10] However, this conclusion derives from a poverty estimate that does not allow for economies of scale in household consumption; that is, large families can realize economies of scale in the consumption of housing and utilities that improve their welfare over small families. Recalculations of poverty with the introduction of various scale economy estimates indicate that over the most feasible range for the scale economy coefficient large families are still poor (see H. Lee, Background Paper No. 8).

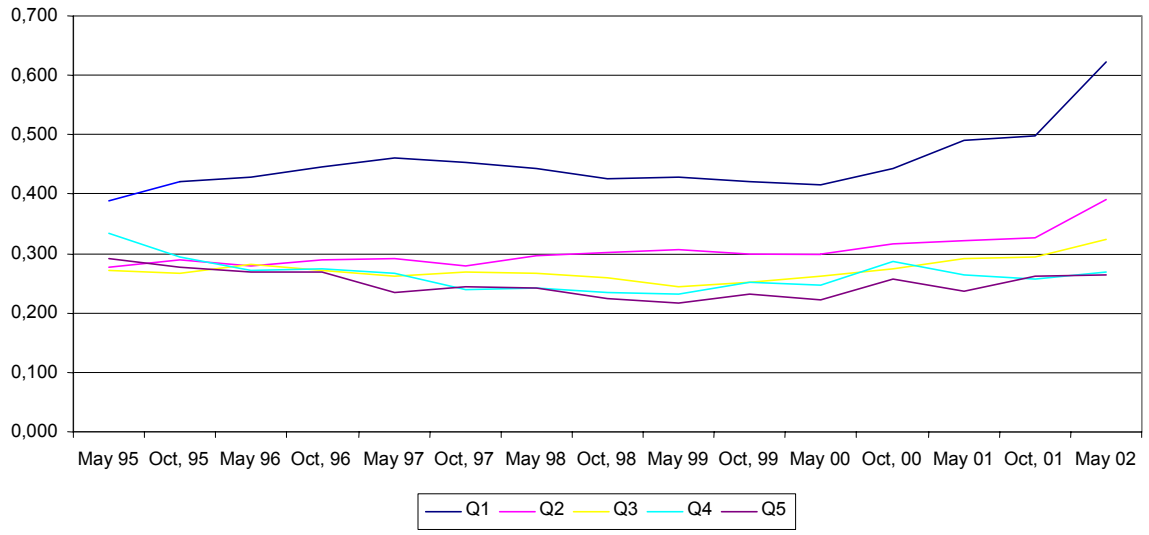
[11] Calculated from data in G. Cruces and Q. Wodon, "Risk Adjusted Poverty in Argentina: Measurement and Determinants." Background Paper No. 2, Part II.

[12] The coefficient of variation (CV) is the standard deviation divided by the mean.

workers, and/or unemployed and inactive workers. The elderly face low incomes but also low risks, probably because their incomes derive from more stable pensions.

To the extent that risk reduces welfare, one could convert data on variability into a risk-adjusted measure of poverty. With such a measure, the gap between rich and poor will be greater given that the poor have more variability than do the poor. For a discussion of such adjustments, see Part II, Background Paper No. 2.

Figure 1.3. Coefficient of Variation of Household Income by Quintile
Greater Buenos Aires, Waves 1995–2002



Labor Markets and Adjustment

The current crisis has created major changes in the labor market,[13] and many of these changes have impacted the poor adversely. During the convertibility period, adjustments to the real exchange rate could only occur through deflation of nominal wages and prices, because the nominal exchange rate could not be adjusted and inflation could not be used to reduce real wages. As the country moved into a state of increasing crisis, nominal wages did not fall, and labor market adjustment took the form of steadily rising unemployment. Despite the fact that wages were more flexible in the informal sector, such wage flexibility was not sufficient to maintain full employment. Rapid growth in the early years meant that output growth exceeded labor force growth, and productivity rose (see table 1.5). During the period 1991–96, productivity grew by 7.6 percent per annum, and the employment elasticity was very low at 0.14. During 1996–98, employment grew at a record 5.2 percent per year, implying an elasticity of 0.6. But since the Tequila Crisis, the demand for labor has become even more pro-cyclical in both directions. With a fall in output of 2.8 percent in 1995, employment fell 2.9 percent, and unemployment reached 18.5 percent.

[13] E. Kritz, Background Paper No. 4.

Table 1.5. Growth of GDP, Employment, and Unemployment 1994–2002

Year	Growth rate of real GDP	Growth of employment	Growth of unemployment
1994	5.8	-0.5	34.9
1995	-2.8	-2.9	34.4
1996	5.5	0.9	21.4
1997	8.1	6.3	-10.0
1998	3.9	4.1	-7.4
1999	-3.4	.9	.7
2000	-0.5	0.4	12.5
2001	-4.4	-0.7	16.2
2002	-10.9	-1.1	18.8
2002*	-10.9	-3.6	29.3

* Excluding impact of *Plan Jefes.*
Source: INDEC (EPH), various years, as calculated by Kritz.

In the post-convertibility period of 2002, with a resumption of inflation, real wages have taken more of the adjustment, and there has been a relatively smaller increase in unemployment. Output is estimated to have fallen 11.0 percent in 2002, while employment has fallen 1.1 percent (see Table 1.5). The small drop in employment may be to the impact of *Plan Jefes*, which alone employs now 2.0 million people. Without *Plan Jefes* employment would have fallen by 3.6%, still relatively small when compared to the 11% drop in GDP. However, there is some evidence to suggest that as many as 40% of participants in *Plan Jefes* were not in the labor force and unemployed before participating in the program. Hence, adjusting employment figures to exclude *Plan Jefes* may not be entirely appropriate.

As noted in the Poverty Report of 2000, formal sector employment tended to be relatively stable during the 1990s. Most of the unemployment was generated by the informal sector or by jobs of lower productivity. However, in the present

Microeconomic Labor Management: What Have Enterprises Done Since Devaluation?

A special survey of 200 leading enterprises reveals some interesting facts about how enterprises have adjusted employment and wages to the crisis, including the following key points:

- One out of three enterprises reduced its labor force, although this tendency has decelerated in recent months.
- The average labor force reduction was 17 percent.
- Practically all leading enterprises took some action in relation to wages. On average, general adjustments produced a 21 percent increase over base salary. This includes the 100 pesos decreed by the government, which alone represented between 8 percent and 10 percent of base. This means that in leading enterprises the adjustment doubled the amount established by the decree. But even so, it represents half of the rise in consumer prices accumulated in the first three quarters.
- Seventy percent of firms made adjustments on non-salary costs. The most frequent measure was to reduce training programs, but they also took actions that affected the income of employees: 50 percent reduced overtime hours and 31 percent suspended them completely; 35 percent reduced benefits such as cars, cellular telephones, and others; 33 percent reduced pension plans and 19 percent suspended them; 32 percent lowered rewards and bonuses and 15 percent suspended them. Last, but not least, three out of four enterprises suspended new personnel hires.
- Seventy-nine percent of layoffs were mutually agreed upon. Only in 21 percent of the cases was there a dismissal, or a termination of the labor contract decided by the enterprise. This policy is partly related to corporate image , but also reduced the size of the severance payment that firms had to pay.

Source: Kritz, E. Background Paper No.4, Part II.

crisis job losses have been predominant in the formal sector. Between May 2001 and May 2002, 825,000 jobs were lost, of which 90 percent were in the formal sector and of which two-thirds were salaried employees.

Of 14.3 million people that are in the labor market at present (May 2002), only about 5 million have stable[14] employment; of these 1.7 million belong to the public sector. Private, formal-sector, salaried workers constitute about 3.3 million people, or about a fourth of the total labor force. If one adds private-sector, non-salaried (self-employed) workers, the private formal sector employs about one third of the labor force. At the beginning of the crisis (1998) the situation was different: unemployment was 9 percentage points lower, and the weight of the private sector in the labor force was 8 percentage points greater. Conversely, the informal sector has grown during the crisis, adding 170,000 employees between October 1998 and May 2002.

The growth of jobs in the informal sector in this period was concentrated in short-term temporary jobs offering low incomes. Work consists of a few months or days, followed by periods of short-term unemployment. This type of intermittent work employs about 21 percent of the labor force. Thus, while total informal employment has risen, informal, salaried employment of a long-term nature has fallen at the same time. Hence, the current role of the informal sector has reverted back to a more traditional one of absorbing employment from the formal sector, and even from stable employment within the informal sector. The most stable sector of employment remains the public sector, of which about 15 percent of all households depend in whole or in part. This very stable source of employment is generally enjoyed by the middle class, however, not the poor. Only 6 percent of all the public-sector employees belong to the lowest 20 percent of the population.

These changes are more important for the poor than for the non-poor. Of the 40 percent of the population with the lowest incomes, 60 percent of the economically active work in the informal sector; and of these, half are intermittent workers. These two lowest quintiles account for 55 percent of the unemployment. In addition, poorer workers tend to be employed less than 40 hours per week, and the number of underemployed has been growing steadily since the early 1990s. At present, only about 26 percent of the indigent poor work more than 30 hours per week; the rest

Table 1.6: Full and Under-Employment by Poverty Group, 1990-2002

		% Working between 10-30 Hours per week				% Working more than 30 Hours per week			
Year	Month	Indigent	Moderate poor	Non-poor	All Urban Areas	Indigent	Moderate poor	Non-poor	All Urban Areas
1998	May	18.7	14.1	12.6	13.2	32.1	54.1	73.4	68.2
	October	17.6	15.5	12.8	13.6	30.2	55.0	74.1	68.4
1999	May	18.3	15.4	12.6	13.4	27.0	53.2	72.6	66.3
	October	18.4	15.2	13.0	13.7	29.4	54.0	72.2	66.6
2000	May	17.6	16.0	12.5	13.5	26.5	50.0	71.3	64.2
	October	15.9	16.4	12.9	13.8	27.7	51.3	72.0	65.1
2001	May	18.3	15.7	12.6	13.7	24.3	52.2	71.3	63.5
	October	18.3	18.1	13.5	15.0	24.3	46.2	68.9	59.4
2002	May	20.9	17.7	14.4	16.6	23.7	49.4	68.0	54.1
	October	30.8	21.5	14.9	20.5	25.5	51.5	71.0	55.1

Source: INDEC, EPH various years

[14] Defined by Kritz as formal sector workers with permanent labor contracts.

are either unemployed or partially employed (see Table 1.6). Even among the moderately poor, only about half have full-time work. Furthermore, the numbers engaged for 10-30 hours have continued to rise over the past five years (see Annex Table A.7).

More flexible real wages, with inflation, during 2002 probably has helped to limit the amount of unemployment created by the crisis. This outcome can be seen by looking at labor costs and employment in different sectors. For the whole private sector, between December 2001 and September 2002, real labor costs (the real wage bill) fell 30 percent, or 6 percentage points more than the fall in real wages. Although many formal sector firms increased nominal wages by even more than the 100-peso increase decreed by the government, these increases fell short of the increases in prices (see Table 1.7). However, changes in real labor costs and wage bills vary greatly by sectors. In commerce, for instance, sales fell 28 percent in comparison with a year earlier, real unit labor costs fell 26 percent, and employment fell by 11.5 percent. Thus, the total wage bill fell by 34.5 percent, and the labor cost per peso of sales is 9 percent lower than a year earlier. Accordingly, wages and other unit labor costs have become the main mechanism for adjustment in the labor market, and account for the deceleration of unemployment growth in the third quarter of 2002. As shown in Table 1.7, real and nominal wages for formal sector employees were relatively unchanged after 1995 through 2001, but show a dramatic drop in 2002. For informal workers, nominal and real wages show more flexibility, but this flexibility was not sufficient to restore full employment. As in many other countries, it is difficult to reduce nominal wages .

Table 1.7: Average Wages – Greater Buenos Aires 1992-2002

(A$ per month, constant and current prices)

	Salaried workers total	Formal workers	Informal workers	CPI	Salaried workers total	Formal workers	Informal workers
	Real (base = May 2002)				Nominal		
1992	772	840	634	82.27	1,109	1,207	911
1993	852	957	643	91.86	1,096	1,231	827
1994	893	1,016	644	95.84	1,101	1,253	794
1995	825	939	576	100.29	972	1,106	679
1996	808	935	543	100.08	954	1,104	641
1997	816	944	603	100.73	957	1,107	707
1998	825	970	573	101.91	957	1,125	664
1999	823	976	561	101.15	961	1,140	655
2000	813	979	529	100.07	960	1,156	625
2001	812	970	549	99.84	961	1,148	650
2002	616	769	363	118.17	616	769	363

The Law of Economic Emergency in January 2002 suspended the right to terminate employees without justified cause and doubled the size of the applicable severance payment. Firms could request a reduction in the severance payment to 50 percent of normal if they could prove to the Ministry of Labor that they were suffering from a loss of business resulting from economic conditions. However, Article 241 of the Labor Law allows for the termination of employment by mutual consent. In fact, a survey of 200 firms reveals that this is the preferred

mechanism for terminations. The negotiated settlement is usually 50 percent to –75 percent of what is normally required by law.

While this method reduces labor costs somewhat, and makes the system more flexible, it also tends to mean that the safety net afforded by severance payments is uncertain and negotiable. There is currently a draft law in the Congress to severely restrict the application of Article 241 in the future.

CHAPTER 2

HOW THE POOR COPE WITH A CRISIS

Given the severity and depth of the present crisis, how have poor people coped with a sudden change in their incomes? To better understand the dynamics of the social and economic situation, we carried out two surveys: one a survey of civil society organizations (CSOs) working with the poor, and the other a more quantitative survey of living conditions.

Impact of the crisis in Argentinean families – A Survey of CSOs.

The study of CSOs used consisted of focal groups, in-depth interviews and questionnaires with civil society organizations, with these organizations representing both the *structurally poor* and organizations representing the *new poor*.[15] It was carried out in the most populated urban areas of the country: metropolitan area of Buenos Aires, Córdoba, Corrientes, Resistencia, Rosario and Tucumán (with regional representation).

This survey led to the following observations:

> The *structurally poor* are considered to be those who live in areas with deficiencies in public services, in basic social services and dwell in sub-standard houses. They have a higher than average number of children and have children at earlier ages. The education level of the household members is low. Labor force participation of these groups is concentrated in manual tasks, with minimal qualifications and high labor instability, usually in the informal market.
>
> *Impoverished middle-class groups* (or *the new poor*) live in neighborhoods with more efficient public services, generally own their home and many of them have a car. They are characterized by having high education levels and qualifications. Their situation changed during the last decade due to the macroeconomic changes that took place, which left many of them unemployed.
>
> An unprecedented characteristic of the current crisis in Argentina is that it has severely affected middle-class groups, and not only the structurally poor, who had already been suffering from marginality and poverty for several decades. In a society like Argentina, with high education levels, the presence of a new group of poor people -- constituted by those who traditionally had access to goods and to important economic and cultural services-- caused a major domestic shock.

---

[15] Methodological development of the ERES team, based on the revision of methodologies used in several publications of the Bank, like "Voices of the Poor", "Empowerment and Poverty Reduction", and other literature produced by the Civil Society and Social Development team. Working with CSOs´ representatives allows us to capture the social emergency from a point of view that, on one side, comprises the perception of the segment as a political actor, and, on the other side, has better capacity of conceptualization, synthesis and analysis of community and family situations, and of relationships with other institutions.

In the face of this crisis, the new poor -- who were not used to resorting to survival practices -- developed different strategies to manage it, while the structurally poor redefined their role before the state, but not in a massive way (e.g., the appearance of the "*piquetero*" movement agitating for labor programs).

Voices of the Poor –Argentina, 2002

"For the young people it is very hard and I guess it has to do with this, with the anger and toughness, the confrontation with those who are killing them, and they don't know what this is about. I think the youth feels despair and that their lives are going be miserable, or their lives are going be just begging, stealing and while they go out on the streets, trying to find some way to get quick money, but if they don't get anything they'll be killed. You can hear this talk in all the young people all the time and it's awful."

"Just go around the city of Resistencia. Before there were 2 or 3 corners with prostitutes but now we can see places everywhere and the saddest part of this is that these are increasingly younger girls in prostitution who go into this as a way to survive.

"*Before, you didn't see that much violence. Now you see it much more in young kids; they get high, kill and steal. All this because there is nothing holding them back." "I'm dark, I'm young, I go downtown and I wind up in trouble."*

"Now there is even discrimination against you for your skin color in the agencies that are supposed to help us. Even inside and outside your own neighborhood; even just the mere fact of having a different haircut."

"Insecurity results from no education, no work, no health, no housing. The government doesn't have any answers..... because the government's answer is an iron hand."

Impoverished middle-class groups state that they have suffered a major reduction in their income due to the loss of their jobs and decreased purchasing power, and have implemented new forms of generating income like trading products and services, organizing informal markets to sell objects, starting home-made production and micro-enterprises. They have also tried to put new members of the household into the labor market. Other strategies include combining efforts with friends and/or family members in order to purchase goods by taking advantage of sales and wholesale prices, choosing more economic brands, replacing costly non-essential products with cheaper ones, and increasing the development of home-made products.

Structurally poor groups, who have been experiencing unemployment and precarious jobs for a long time, have resorted to increased participation of women and children in subsistence activities, like cardboard collection and other strategies. Some companies that have gone bankrupt have gone back into business as cooperatives (constituted by their own employees about to be fired) or as community micro-enterprises managed by grassroots organizations that incorporate staff financed by the *Plan Jefes*.

The structurally poor are increasing home-made production for self-consumption (preserved fruit, bread, pasta and their own-produced vegetables), and community purchases in wholesale stores. Nevertheless, even applying these strategies, they have had to adjust their consumption of basic products, e.g. reducing milk and sugar, and replacing meat for soy, cereals, noodles or rice. Regarding access to services, these families make illegal use of electricity and substitute natural gas with bottled gas and/or firewood. They consider that services are too expensive, particularly when their only income is the subsidy they get from the *Plan Jefes*.

As the *new poor* are concerned, they have experienced an increase in overdue payments and service cuts. In some cases, they resort to the use of deferred payment and controlled consumption (e.g. in telephone, electricity) and their capacity to honor debts and credits has declined. This brought about the loss of goods like automobiles, real-estate property and even of family homes. Likewise, they have dropped recreational and cultural consumption, like going to the movies, theatres, restaurants, buying books and traveling. Changes can be seen in their transport habits: cars are sold or left at home, while the use of public transport, bicycles, motorcycles and walking increases. As a result of these changes, there is a psychological impact of perceiving themselves as being increasingly closer to the poor sector. The new poor find it difficult to accept and acknowledge their new situation, to ask for help and reducing expenses that were previously considered as indispensable, and to change their role by being forced to resort to charitable organizations in which they used to participate as donors

In the education area, the crisis affects both groups in different ways.

Structurally poor groups state that children have reduced school attendance due to the lack of school elements, shoes, clothes and means of transport.[16] At the same time, the main reason for attending school is the fact that they receive their meal there. These groups have troubles caused by teachers' strikes, because during those days children do not receive the food that is provided to them by the school cafeteria. They suffer from the discontinuity and lack of coverage of scholarship programs, the suspension of which discourages teenagers' attendance to school.

It is getting increasingly difficult for the impoverished middle-class groups to afford the fees of private schools and to continue with University studies. In some cases, University studies are dropped in order to enter the labor market. New alternatives of education services arise among groups of parents, friends and neighbors. More use is made of popular libraries.

In the health area, the situation seems to be even more serious.

Issues related to the *deterioration of the quality of life* arise among the structurally poor, especially poor nutrition: malnutrition is increasing in children and adults; there is a new outbreak of diseases that had been eradicated, like tuberculosis, hepatitis B and dengue. The situation of children, elderly people and terminal patients is extremely precarious and vulnerable. As *access* is concerned, the impossibility of getting hospital attention has increased due to the lack of money to afford means of transport. Lack of resources prevents patients from following treatments and obtaining prescribed medicines. Hospitals also lack medicines, elements and sufficient equipment to meet the new demands. Free access to contraceptives has also declined (in the few provinces where this was implemented), causing an increase in abortions and hindering preventive care.

The impact of the crisis on the *new poor* struck in the *changes of forms of medical coverage* of these families, like changing from pre-paid medical services to a social

[16] However, this is not borne out by the data, which show no decline in school enrollments (see Chapter 3).

security system, or full coverage pre-paid services to others with less coverage, which implies a deterioration in the quality of the service; on the other hand, the number of families with no medical services because they have lost their regular job and cannot afford the cost of a pre-paid service has increased, with the consequent growing demands on public hospitals. Medical visits have been minimized, and cheaper medicines are bought. As with the poor groups, they claim that there is a reduction in free access to contraceptives.

In general, CSOs point to an increase in community violence and social conflicts.

The structurally poor mention an upsurge of violence related to robbery and insecurity. They have witnessed an increase in police abuse and impunity, especially youth persecution. Systematic violation of civil rights, as well as ethnical and social discrimination, go along with the growing process of poverty criminalization. New forms of protest and demand, such as pickets (road blockades), taking of businesses and buildings, preventing access to factories and public buildings, emerge and become more acute, as they aim at obtaining responses to emergency issues. Among the new poor, the growth of crime rates fosters fear and insecurity, rising the concern over crimes against property. Conflicts escalate, because of the new situations and living conditions. Among both groups, there is a stronger commitment (both female and male) with civil society organizations (CSOs) arises, as male participation in community activities builds up, due to the *Plan Jefes*. The new poor have started to perform community work, make claims as consumers and take part in demonstrations and protests that they had ignored until then.

The crisis has a strong impact on family composition and on the traditional family model.

In all groups, these changes occur because of migrations to cities and rural areas in search of new sources of income, as well as due to regroupings of family members who, now unemployed, go back to the family home to live, which worsens overcrowding and promiscuity conditions. The crisis of the traditional family model brings about a change in the division of labor by gender. There is a redefinition of roles and duties both in households and in the public field. At home, women strengthen their role as heads of household, weakening the traditional role of men as family chief and support. In the public sphere, women take part in CSOs and in the new forms of political participation such as pickets, assemblies, pot banging (*cacerolazos*) and demonstrations. As a result, new conflicts emerge, breaking up family union and demeaning the image of parents before their children. Within families, there is an increased sense of fear and impotence, specially over the situation of the youth concerning the loss of future projects, which deepens despair and pessimism. Child and teenage pregnancies increase, as well as infantile prostitution. In traditionally poor groups, violence translates into fights, aggressions, separations, battered children. In most cases, violence is directed to women and children. Inter-generational conflicts and the impossibility of control of youth increase. Impoverished middle-class groups witness growing rates of aggressions,

divorces and higher intolerance in family relationships. In both segments, stress, depression, phobias, suicides and drug and alcohol addictions have grown.

Results of a Special Household Survey

To provide more quantitative evidence of the impact, the Bank also commissioned a special household survey in June/July 2002, covering 2,800 households in different regions (see box).[17]

The first part of the questionnaire asked for information for all household members and includes questions on demographic characteristics, employment, income, migration status, education level, health coverage, and contributions to social security. Retrospective questions were asked for several of these questions, using October 2001 as the reference point. Individuals

The Special Household Survey, 2002

In addition to the survey of civil society organizations, this chapter uses a special household survey specifically designed to identify socio-economic conditions in Argentina in 2002, and changes between 2001 and 2002. The survey is nationally representative and covered 2,800 households in different regions.[1] Unlike most other surveys in Argentina, this one included small localities (less than 2,000 inhabitants) and thus provides a unique perspective on rural areas. The survey, however, did not include dispersed areas and thus does not present a full picture of Argentina's heterogeneous rural sector. For urban areas, the sample design was based on a stratification by city size by region. For the rural areas, localities were selected randomly but, even though an effort was made to include localities from various regions, the sample is not large enough to be representative at the regional level. Overall, the survey design allows comparisons with the EPH for the urban areas. The field work was conducted during the months of June and July of 2002. For additional information, see A. Fiszbein, *et. al.*, "Argentina's Crisis and Its Impact on Household Welfare", Background Paper No. 1, Part II.

were asked about their individual labor and non-labor incomes (cash and in-kind) as well as official and nonofficial income transfers. The second part of the questionnaire focused on the household as a unit and inquired about the use of savings, changes in consumption patterns, and participation in social programs and community activities. The head of household (or the best-informed individual in the household) answered the questions.[18] The survey inquired about the most frequent strategies used by households in reaction to the worsening economic conditions experienced during the previous eight months.

Changes in Consumption

Table 2.1 summarizes the type of changes that families adopted in their expenditure patterns, focusing primarily on reductions in consumption levels and substitution for less-expensive items. Overall, all families seem to have reacted to the economic crisis through a combination of consuming less and substituting for less-expensive goods both for essential and nonessential items.[19] That said, two patterns are observable. First, higher-income groups appear,

[17] The survey was conducted by IBOPE . For details, see Background Paper No. 1 by Fiszbein, Giavagnoli and Anduriz.

[18] If the head of household did not know the answer to a particular question (for example, changes in consumption patterns) the household was visited up to three times to find the member who could respond to the specific question.

[19] The consumer price index (CPI) increased by 30 percent during the first six months of the current year. The increase in the prices of food items was higher (39 percent) than average. Using the expenditure shares for the

not surprisingly, to have avoided to a greater extent such changes. This is particularly true in the case of food, where the difference between income quintiles is striking. Second, the substitution for cheaper products (or second-hand products when available) appears to be more pervasive than reductions in consumption levels. In other words, the information suggests that families have tried to shield the consumption of food as much as possible by reducing the consumption of other goods and switching to less-expensive products. The lower-income groups, not surprisingly, appear to have been less successful in doing so.

Table 2.1. Changes in Consumption by Income Quintiles

Changes in consumption patterns	I	II	III	IV	V	Total
Food						
Reduced consumption	90.4	83.1	73.2	69.0	59.1	74.9
Substituted for cheaper products	97.6	95.4	92.5	91.5	84.8	92.3
Other goods						
Reduced consumption	90.5	87.7	81.5	76.8	68.3	81.0
Substituted for cheaper products	89.5	89.3	80.4	80.2	76.6	83.2
Purchased second hand products	51.7	40.2	34.8	33.0	24.3	36.7
Dismissed/reduced the use domestic services*	.	.	43.0	27.8	40.5	37.9

*Estimated only for those households for which this was an option and only when a sufficient number of cases were observed.

A question that deserves particular attention is whether there is any evidence of increased school dropout rates as a result of the economic crisis. Table 2.2 looks at three age groups: 6–12, 13–15, and 16–18 years. The second column provides rough estimates of coverage rates for each group, without any reference to the level of schooling. With all its limitations, these data confirm the rates traditionally observed through household surveys and do not show signs of reductions in coverage rates.

We have further analyzed whether there are any indications of dropouts during the first months of the current school year among those children reported not to be at school (that is, those not included in column two of the table). Household heads were asked whether someone in the household (without identifying who it was[20]) had either dropped out or postponed starting school. The third column reports the percentage of children in the age group that are not in school and belong to a family in which there is at least one member that dropped out or postponed starting school. Of course, this might be overestimating the presence of dropouts to the extent that there is more than one household member who had dropped out or postponed starting school (including higher education), and in that sense it is an estimate of the maximum potential size of the effect. The first thing to notice is that, given the very small number of cases involved, the estimates are not sufficiently precise (that is, they have a high coefficient of variation).

lowest quintile derived from the 1997 consumption survey, we estimate that the cost of living for the poorest groups in society increased 45 percent during this period.

[20] This avoided a 'finger-pointing' effect that might have led to underreporting of cases of dropouts at the expense of losing information on exactly which member of the household was involved.

Table 2.2. Have Families Taken Children Out of School

	Goes to school (% of all in group)			Dropout estimate
Age group	Total areas	Urban area	Rural area	Total areas
6 to 12 years	97.0	97.3	92.1	0.2
13 to 15 years	92.5	92.5	90.9	0.6
16 to 18 years	80.2	81.1	60.1	2.3

Taking this into account, it is apparent that there is no evidence of increased dropout rates for children in the 6–12 or 13–15 age brackets. For the 16–18 age bracket, the estimated dropout rate is about 2 percent of the age group, but the calculation is not statistically significant. Looking at the distribution of this latter group, over half (54 percent) were found to come from the lowest quintile.

The limited evidence of children dropping out of school as a result of the crisis could indicate that families try very hard to protect what is perhaps the most important type of investment they can make for their children even under difficult circumstances. In addition, with reduced opportunities in the labor market, the incentive to remove children from school so they can work is reduced. In addition, as noted above, schools provide a source of food for children through feeding programs. However, as evidence from other crises suggests, such negative effects might not be felt immediately but rather, might be felt several months after the beginning of the crisis (for example, might be reflected in enrollment rates in 2003).

Another possible strategy is to shift children from private to public schools. However, there is little evidence from the survey data (see table 2.3), which suggests a resistance to make such changes even in the context of a sharp economic deterioration (this contradicts the conclusions of the focus group discussions). A very large proportion (72 percent) of the households reported reducing the purchase of schools materials, with as yet unclear effects on the quality of schooling. The effect was more pronounced among the poor, with almost 90 percent of the households in the lower-income quintile reporting reductions in the purchase of school materials compared with only 43 percent in the highest-income group. The difficulties experienced by several provinces in keeping up with spending levels suggest the presence of restrictions on the supply side that may be more serious than those on the demand side, at least at this early stage of the process.

Table 2.3. Adjustments in Education Expenditures
(% of households)

Substituted private school for public one	2.0
Turned to cheaper private schools	3.1
Reduced purchase of school materials	71.9

In the case of health services, there is evidence of severe negative impacts as of early on in the year, both in terms of difficulties within the social health insurance and public health subsystems. The information collected through the survey confirms the trends identified previously. Approximately 12 percent of the individuals experienced some change in health insurance coverage. More than 60 percent of those lost coverage altogether, mostly those in the

lowest-income groups. For the approximately 40 percent of individuals experiencing a change in health insurance coverage, the movements were toward lesser coverage.

The loss of insurance coverage is leading an increasing number of people to rely on the use public health facilities. Of those households reporting to have substituted public for private health facilities as a reaction to the economic crisis, 60 percent have experienced some form of loss or limitation in the coverage offered by their health insurers. More specifically, 16 percent lost their insurance altogether, 5 percent have outstanding bills that do not allow them to use their insurance coverage, 13 percent cannot afford the co-payments, 8 percent experienced a reduction in services covered by their insurer, and 13 percent are retirees experiencing difficulties with the services offered by PAMI.(health program for retirees)[21]

Overall, the survey found that families have, in one way or another, cut down on health services as a result of the economic crisis. Almost 23 percent of the households reported that at least one member experienced lack of access to health services. Three-fourths of those reported that the reason was "lack of money" to pay for medicines (44 percent), transportation costs (26 percent), and fees (5 percent). More specifically, 37 percent of the households with children under the age of 12 reported having reduced the frequency with which they take their children for medical checkups. Almost 45 percent of those belong to the lowest quintile of the income distribution. But this effect was also felt in the second (29 percent) and third (18 percent) deciles.

Another coping strategy that households have adopted is to cut back on the use of utility services, or to delay payment thereby effectively consuming on credit. Overall, residential consumption of these services has fallen by 10% since the onset of the crisis. Furthermore, between 30% and 50% of the households reported delaying payments. The percentage of households reporting being cut off for non-payment (electricity, gas, water, telephone, cable, internet) range from 2% percent (in the case of water supply) through 10% (for electricity and fixed line telephones) up to 14 percent for cable. Disconnections are concentrated in the lower quintiles of the income distribution, with between 20% and 25% of first quintile households reporting that they have been disconnected from electricity and telephone. Nonetheless, the disconnection statistics do not tell the whole story. Almost half of first quintile households who report having been disconnected from the electricity service following the crisis, say that they currently have access to the service, suggesting that they must subsequently have become reconnected, although it is not clear whether this is through legal or illegal means.

Similarly, households have tended to substitute less-expensive means of transportation, as shown in table 2.4. More than half the households previously using only public transportation now report having increased the use of a bicycle or simply walking; for the poorest households the figure is significantly higher. These figures are consistent with those emerging from the official data on the use of public services[22] that indicate, for the first five months of the year, a 22 percent reduction in the number of passengers on urban railways, a 9 percent drop in subway use, and a 14 percent decrease in use of metropolitan bus services. A similar switch from cars and taxis to public transportation is observed as well.

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[21] PAMI is the national health insurer for retirees.

[22] These statistics are collected monthly by INDEC and constitute the basis for its Indicador Sintetico de Servicios Publicos (ISSP, Indicator of Public Services).

Table 2.4. Changes in the Use of Transport Services

	I	II	III	IV	V	Total
Car/taxis by public transportation	57.4	56.7	47.8	45.5	32.4	46.1
Car/taxi/ public transportation by bicycle/walking	73.9	62.5	61.3	49.0	33.5	55.4

Income-Generation Strategies

Poor households can use various strategies to attempt to raise incomes, or to offset income reductions, in a crisis. As shown in table 2.5, approximately 13 percent of the households sampled placed a new member of the household into the labor force. This move was particularly strong among the lowest-income group, where the figure rises to 28 percent. These are typically secondary workers: in 50 percent of the cases it is the son or daughter, and in 25 percent of the cases it is the spouse of the person reported to be the head of household.

Table 2.5. Income-Generation Strategies by Income Level (% of total)

Quintiles	I	II	III	IV	V	Total
Labor market strategies						
Adding new workers to labor market	28.0	16.8	12.2	6.2	1.4	12.9
Working more hours	11.4	15.6	16.3	11.5	13.4	13.7
Time						
Increased home manufacture	74.4	73.0	62.6	52.5	43.2	61.1
Dismiss/reduce domestic services	.	.	43.0	27.8	40.5	37.9
Migration	4.3	2.3	6.0	5.1	4.6	4.5

This coping strategy, however, has limited impact during a time of rising total unemployment. Although some households are successful in having new entrants find work, the effects are more than offset by rising unemployment of those already in the work force. As shown in table 2.6, comparing October 2001 and July 2002, most of those who moved out of "inactive" status wound up unemployed; only 17 percent found work. Those who found work were often not those in the poorest groups, and the majority of work was in temporary jobs. Where work was found, it was largely by those previously unemployed. At the same time, many of those who had worked became unemployed, and many of those unemployed became "inactive," suggesting that labor market conditions discouraged further job search. As shown in table 2.6, the rate of unemployment of the sample went up from 8.6 percent to 9.9 percent during the period, a trend consistent with the macroeconomic data.[23]

[23] The unemployment rate calculated here is as a share of the total population, not the labor force. Unemployment as a share of the labor force would be 21.6 percent in October 2001 and 24.6 percent in July 2002.

Table 2.6. Changes in Labor Market Status
(October 2001–July 2002)

			Previous status				
			Unemployed	Inactive	Permanent job	Temporary job	Total
Present status	Unemployed	*1000s*	1,435	1,228	15	555	3,233
		%	50.6	6.2	0.2	17.1	9.9
	Inactive	*1000s*	1,039	18,252	20	386	19,696
		%	36.7	92.5	0.3	11.9	60.0
	Permanent job	*1000s*	113	91	6,498	331	7,034
		%	4.0	0.5	92.6	10.2	21.4
	Temporary job	*1000s*	247	153	485	1,969	2,854
		%	8.7	0.8	6.9	60.8	8.7
	Total	*1000s*	2,834	19,725	7,018	3,241	32,817
		%	100	100	100	100	100

Working more hours is another strategy followed by all income groups. However, it tends to be mostly salaried workers in permanent jobs with a particular concentration in commerce who appear to succeed in this effort to increase the hours of work. In parallel with these changes in employment strategies, it is possible to observe a tendency to substitute leisure for in-home work as a way of coping with the crisis. Approximately 60 percent of the households report that they have increased the time allocated to the preparation of home-produced goods (for example, food) to substitute for purchased goods. As shown in table 2.5, the lowest-income groups heavily use this strategy ("home manufacture").

The survey also inquired as to whether a household member had migrated since October 2001 or if someone in the household is considering that option. On average, a little over 4 percent of the households reported having at least one member who migrated, a percentage distributed more or less evenly across the income distribution.[24] The main reasons for migration included "lack of work" (58 percent) and seeking a better quality of life (15 percent). More than 20 percent of the households reported that at least one family member is considering migrating. The key option being considered (80 percent of the households) is migrating to another country, particularly within the highest-income groups in the city of Buenos Aires.

Since the beginning of the crisis a larger proportion of the households are using their savings, selling assets, or borrowing as a means of smoothing consumption (table 2.7). Perhaps the most interesting fact to notice is how low-income households rely on the use of informal credit at neighborhood stores (*compra al fiado*) whereby payment is delayed. This coping strategy is used by 15 percent of the poorest families, but only 1 percent of the upper quintile.

[24] This excludes those migrating as a result of marriage, sickness, or other family reasons.

Table 2.7. Use of Financial Strategies by Income Level

Quintiles	I	II	III	IV	V	Total
Selling assets	5.9	3.7	3.3	2.7	1.1	3.3
Using savings	2.8	3.5	4.0	8.0	5.6	4.8
Borrowing from banks	0.9	3.6	1.8	0.6	2.0	1.8
Purchase with delayed payment	14.6	13.1	9.5	2.3	0.7	8.0

Social Network Strategies

Table 2.8 summarizes some of the key indicators of use of social networks by households. Overall, we observe that more than one-third of the households report benefiting in at least one aspect from access to a network of social support. The use of such strategies is somewhat higher for households that experienced negative nominal shocks in their incomes and is significantly higher for households at the lower end of the income distribution.

Table 2.8. Use of Social Network Strategies

	% of household using	% of households reporting a reduction in income using
Assistance from other persons who don't live in the house[25]	16.3	17.0
Borrowing from friends or family	10.7	13.7
Social plans	6.9	7.5
Participation in community activities[26]	20.9	26.4
Barter	11.1	15.2
Using at least one	37.0	42.5
Using more than one	14.6	19.9

The survey provides some evidence that social networks might be cutting across the income distribution. In terms of receiving or giving assistance to persons not living in their households, those in the lowest quintile tend to be net recipients and those in the highest quintile net givers (see table 2.9). For the poorest households, 10 percent gave and 26 percent received assistance from persons outside the household. For the richest quintile, the reverse is true: 38 percent gave and 7 percent received.

Table 2.9. Use of Social Networks by Income Level

	I	II	III	IV	V	Total
Assistance from other persons who don't live in the house	26.4	15.5	20.9	15.8	7.3	17.1
Assistance to other persons who don't live in the house	10.0	19.7	17.1	21.2	37.9	21.2
Borrowing from friends or family	21.2	15.7	10.6	5.8	3.0	11.3
Social plans	18.5	6.1	7.5	1.3	0.1	6.7
Participation in community activities	29.4	23.6	22.8	15.7	15.7	21.4
Barter	20.2	15.4	11.7	5.5	3.9	11.3

[25] A higher percentage of households (22 percent) report providing assistance to persons not living in the same households.

[26] Community activities include the following categories: school canteens, soup kitchens, communal purchases of goods, community workshops, fundraising, community childcare, among various others.

Although the survey registers an increase in the use of various forms of social networks, with respect to October 2001, the largest increases are in the use of barter and participation in community activities, as shown in table 2.10.

Table 2.10. Changes in the Use of Social Networks

	% of household using	(Before Oct 2001) % of household using
Assistance from other persons who don't live in the house	16.3	13.2
Borrowing from friends or family	10.7	7.0
Assistance from government or nongovernmental organization	6.9	2.7
Participation in community activities	20.9	11.1
Barter	11.0	3.2

The intensity of use of barter among low-income groups is documented by the fact that the per capita income of households using barter is less than that of the entire population (143 pesos versus 214 pesos, based on adult equivalency). Households using barter tend to have more unemployed members (43.3 percent versus 22.4 percent) and more temporary workers (42 percent versus 23 percent)—further proof of the higher vulnerability of those households.

A similar pattern is observed for those households that report receiving some type of official help. Their per capita income is below average (122.7 pesos), they have a higher incidence of unemployment (65 percent have an unemployed household member), and those who are employed tend to have mostly temporary jobs (80 percent).

Comparisons with Other Countries

A quick comparison with evidence from other countries experiencing similar large economic shocks shows some interesting similarities as well as some specific differences. The analysis by Fallon and Lucas (2002) on the effects on labor markets[27] indicates a pattern of rising open unemployment rates and important changes in the sectoral composition of employment (sharp reductions in construction and manufacturing—the latter as the corporate sector is hit by the higher costs of imported materials, difficulties in obtaining credit, and the rising burden of debt in foreign currency) similar to that observed in the case of post convertibility Argentina.

The evidence on the distributional impact of crises shows some differences between countries. Thomas and others (1999) estimated that in the case of Indonesia there was a larger decline in per-capita expenditures in both the top and bottom quartiles of the distribution than for households in the middle of the distribution. In contrast, there is evidence of at least a weak redistribution of income from the middle classes to the rich in Thailand. Our estimates suggest that reductions in family income in Argentina have affected mostly the middle class.

Regarding coping strategies, as in the case of Argentina, Frankengerg, Thomas, and Beegle (1999) note that informal assistance from friends and family members was particularly important in Indonesia during that crisis, with about a quarter of the households receiving such

[27] Countries studied and crisis years: Indonesia (1998), Korea (1998), Malaysia (1998), Thailand (1997), Argentina (1995), Mexico (1995) and Turkey (1994).

assistance. Its median value was considerably higher than that of assistance from formal services. Sudarno, Wetterberg and Pritchett (1999), also found case differences in coping strategies along the Indonesian income distribution. For instance, middle-class families responded by working more hours, reducing consumption, drawing down savings, and selling assets, while lower-income households resorted to more drastic measures, such as taking children out of school.

Regarding this last point, the evidence on the matter is mixed. For example, in Mexico during the 1982 crisis, high school dropout rates increased slightly while primary school dropout rates fell. Both changes were part of long-term trends throughout the 1980s (Lustig ,1998). Similarly, Adam and Chamberlin (1999) did not find evidence of significant reductions in school participation in Thailand even though they also recognized the measurement difficulties and delayed responses we mentioned above. The evidence for Thailand, though, did find a gap in dropout rates between poor and non-poor households, as is found in for the case of Argentina.

CHAPTER 3

THE GOVERNMENT RESPONSE TO THE CRISIS: SOCIAL SPENDING[28]

Background and General Trends

Conscious of the extreme stress in the economy and the attendant impacts on social conditions, the national government of Argentina has been taking the bulk of the responsibility for formal public action.[29] These actions have been constrained, however, by the government's own declining fiscal resources. The main government initiative has been directed at the formulation of a Social Emergency Program. The main thrust of this program is to provide the material support needed to avoid the most deleterious impacts of the crisis on the poor and vulnerable with actions in health, education, nutrition, temporary work, income support, and community action. These investments are critical in ensuring continued human capital development among the poor and vulnerable groups in Argentina and in protecting the existing human capital from serious deteriorations under the severe economic crisis.

Table 3.1 shows that between 2001 and 2002 there has been a combination of overall fiscal contraction and a pro-poor shift in the composition of public spending.[30] This ability to reallocate funds has been in part possible thanks to the government's temporary default on its external debt, so it is not clear how sustainable this reallocation strategy will be in the near future.

While total spending in constant prices fell 38% in this period (public sector), social spending fell 32%, indicating some attempt to give priority to the social sectors. Social spending, however, continues to have a strong universal nature and is not necessarily beneficial to the poor. **Targeted** social spending, that part of total social spending which funds programs directed at the poor and vulnerable segments of the population, has experienced a significant increase in nominal terms and as a percentage of social spending.[31] This increase reflects the implementation of the Social Emergency Program, particularly the introduction of the workfare program, *Plan Jefes y Jefas de Hogar*. This nominal increase has been more than sufficient to

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[28] This chapter is based on three background papers: Ridao-Cano, C. 2002 "Government Response to the Crisis: Social Spending." Background Paper No. 5; Schwab, Nicole, and Juan Pablo Uribe. 2002, "Impact of the Crisis on the Health Sector in Argentina." Background Paper No. 6; and Espana, Sergio, Maria Paula Savanti, and Suhas Prandendakar. 2002, "Impact of the Crisis on the Education Process in Argentina 2002." Background Paper No. 7, all in Part II of this report.

[29] See chapter 2 on the coping strategies adopted by Argentine families.

[30] Overall social spending is given in terms of both the national government and consolidated public sector, which includes the provincial and municipal governments. The discussion in this section focuses on social spending of the national government for because detailed information by individual program is only available at the national level, and this information is key for an accurate characterization of social spending, particularly targeted spending. In addition, the national government has taken the bulk of the responsibility for formal public action to counteract the social impact of the crisis, although many national programs are administered by provincial and municipal governments.

[31] For a description of all targeted social assistance programs, see Guía de Programas Sociales (Sistema de Información, Monitoreo y Evaluación de Programas Sociales [SIEMPRO] 2002), Ministry of Social Development, Government of Argentina.

counteract the effect of inflation, resulting in a 21 percent increase of targeted social spending (TSS) in real terms. When put in the context of the expected 11 percent decline in real GDP, TSS shows, in contrast with previous crises, an anti-cyclical pattern. When put in the context of a 42.8 percent increase in the poverty rate, however, this increase in real terms of TSS has not been sufficient to cope with increasing poverty, resulting in a 15.8 percent decline in spending per poor person in real terms. This decrease in TSS per poor person is higher than the decline in GDP or GDP per capita (11.9 percent). As shown later, however, only about 61 percent of targeted social spending in 2002 takes the form of direct cash transfers to families. Direct cash transfers have increased by 81.7 percent in real terms and by 25.9 percent in per poor terms. Given the fiscal constraints, inflation and the sharp rise in poverty, the government's efforts in reallocating funds to targeted social spending, particularly in the form of direct cash transfers, are notable, and an improvement over their performance in previous crises.

Table 3.1. Public Sector Social Spending, 2001–02

	2001	2002	% change
Public Sector[32]			
Total Spending			
Millions current pesos	96,153	91,111	-5.2
Millions 1993 pesos	91,643	57,302	-37.5
Social Spending			
Millions of current pesos	59,112	60,962	3.1
Millions of 1993 pesos	56,340	38,341	-31.9
National Government			
Total spending			
Millions of current pesos	48,935	46,091	-5.8
Millions of 1993 pesos	46,640	28,988	-37.8
Social spending			
Millions of current pesos	28,651	29,587	3.3
Millions of 1993 pesos	27,308	18,646	-31.7
% Total spending	58.55	64.19	
Targeted social spending			
Millions of current pesos	3,308	6,056	83.1
Millions of 1993 pesos	3,153	3,816	21.0
% Social spending	11.55	20.47	77.2
% GDP	1.23	1.70	38.2
Per poor person	240	202	-15.8

Source: Ministry of Economy and SIEMPRO.[33]

Table 3.2 shows that the combination of reallocation of national government spending to targeted social spending (TSS) and relocation within TSS across functions has resulted in substantial increases in education, health, and, particularly, employment, which becomes the most important spending category. Within social assistance, there have been significant increases

[32] Includes national and provincial government expenditures.

[33] The spending information for 2002 refers to accrued expenditures at 12/31/2002. In order to make the comparison between TSS in 2001 and 2002 possible, funds allocated to national fund for housing (FONAVI) are excluded from TSS in 2001 (about 656 million pesos). FONAVI is no longer considered part of TSS in 2002 (it is still part of social spending though) as FONAVI funds became unconditional transfers to provinces in 2002. Real figures are based on a combined index of wholesale and retail prices, using 1993 as the base year. The poverty number for 2002 is based on the Encuesta Permanente de Hogares (EPH) of May 2002.

in food and cash transfers. These changes are consistent with the priorities set forth by the Social Emergency Program.

Table 3.2. Targeted Social Spending of the National Government by Function
(million pesos)

	2001			2002		
	Nominal	Real*	% TSS	Nominal	Real*	% TSS
Health	273	261	8.25	448	282	7.40
Social assistance	1,595	1,520	48.22	1,802	1,136	29.76
Social security	1,014	966	30.65	1,115	703	18.41
Education	131	125	3.96	353	222	5.83
Employment	266	253	8.04	2,308	1,455	38.12
Housing and urban development	17	16	0.51	16	10	0.26
Water and sewerage	13	12	0.39	14	9	0.23
Total	3,308	3,153	100.00	6,056	3,816	100.00

*in 1993 prices. See notes to table 3.1. FONAVI has been excluded from housing and urban development in 2001.

Social Assistance Programs

Within **social assistance** there has been a significant increase in funds allocated to food and conditional cash transfers.[34] The bulk of the food assistance is channeled through the *Programa de Emergencia Alimentaria* (272 million pesos)[35] and through FOPAR (*Programa Fondo Participativo de Inversion Social*), whose funds have been reallocated to finance community kitchens and have increased substantially (from 8.5 million pesos to 16.5 million pesos). These programs provide daily food rations for poor families, particularly the most vulnerable (that is, pregnant women, children, and the elderly), through community kitchens. It is worth noting that an important part of food assistance has been channeled through already existing programs**,** with the aim of trying to facilitate a quick and effective delivery to the poor and vulnerable. Because of the problems associated with in-kind transfers the Federal government no longer provides food directly to poor people. It now provides cash assistance to poor families, or financial resources to support various ongoing nutritional programs run by provincial and municipal governments. The problem is that many of these have become de facto block transfers with little or no impact on malnutrition. Most of the funds allocated to food assistance for 2002 have been disbursed. This is not the case of FOPAR, which has been subject to important implementation delays, resulting in much lower disbursements than expected for 2002. For 2003, however, FOPAR is expected to reach 54.2 million pesos.

The IDH (Ingreso para el Desarrollo Humano) is the most important conditional cash-transfer program (69.8 million pesos). The program, which started being implemented in the second half of 2002, is aimed at promoting the development, health, and schooling of children through the provision of cash transfers to poor families that are conditional on school attendance and health controls, and that depend on the number of children (up to a maximum of 150 pesos

[34] The most important part of social assistance funds, however, continues to be transferred to provinces for targeted social programs (1,079 million pesos), mainly covering basic social infrastructure.
[35] The amounts reported in this section are in current pesos.

per family per month). The design and implementation of this program built on the successes of programs such as PROGRESA in Mexico in terms of school and health outcomes of children. The IDH, however, has been subject to significant implementation delays, resulting in much lower disbursements and coverage than expected for 2002. For 2003, however, IDH is expected to reach 227.5 million pesos. As a whole, these transfers of cash and food are thus mainly targeted at those who are unable to work, such as pregnant women and the elderly, and those who should not work, such as children in school, which makes them an appropriate safety net, at least theoretically, given that an important part of the rise in poverty is explained by declining real wages.

Within **employment**, and targeted social spending as a whole, the most important program by far is *Jefes y Jefas de Hoga*r (2,248 million pesos; see box). This is an ambitious workfare program that is estimated to have reached around 2 million beneficiaries by the end of the year, providing them with 150 pesos per month in exchange for work in community projects or training. The transfer amount was set at a level slightly below the going wage for full-time work for unskilled workers, so as not to discourage people from seeking more permanent jobs as soon as they become available, and thereby avoid distortions to the labor market. This transfer amount should also promote effective targeting of the program to poor households.

Although quantitative causal statements are difficult to make, the rapid expansion of the *Jefes* program in 2002 appears to have been the main reason behind the decline in unemployment from 21.5% in May to 17.8% in October. However, not all beneficiaries were previously unemployed before participating in the program. The design and implementation of this program is built on the success of a predecessor workfare program, *Trabajar,* in mitigating the loss of income resulting from unemployment (as opposed to lower real wages). In a sense, it makes up for the low coverage of the unemployment insurance program. The *Trabajar* provided up to six months per year of work to unemployed adults. The *Jefes* program was originally intended for unemployed household heads who have children at home. However, the large number of women participating in the program suggests that the definition of who is a household head is flexible in practice. Compliance with key eligibility requirements (households containing children under the age of 18 and presentation of ID number) has improved gradually from its early beginnings. It is now estimated that ineligible persons participating are less than 20%. For 2003, the *Jefes* program is expected to reach 3,055 million pesos, thanks, in part, to the new loan from the World Bank.

In addition to *Jefes,* a similar employment program called PEL (*Programa de Emergencia Laboral*) was created to provide for those unemployed individuals who do not meet the eligibility criteria of the *Jefes* program. It currently enrolls about 300,000 people, and is targeted mainly to adults that do not have children (single individuals) or whose children are older than 18 years. In addition the Government is trying to encourage private businesses to offer employment of 6 months to *Jefes* participants. Under the scheme, the company would only need to top up the workers' salary by the difference between the amount of the *Jefes* transfer and the salary level in the collective agreement.[36]

[36] Ismael Bermúdez, "Lanzaron el plan para subsidiar el Empleo Estable", *Clarín,* Jan. 22, 2003.

Plan Jefes y Jefas de Hogar Desocupados
(Program for Unemployed Heads of Households)

Type of program: The "Jefes" program is an emergency workfare program. Unlike its predecessor, Trabajar, the Jefes program was originally intended for heads of households only. However, the data shows that there were actually as many if not more heads of household employed under Trabajar as under Jefes. Part of the reason for that is the type of work that is offered, such as work in community kitchens, which is more appealing to women than to men. The program is funded by the national government and run by the Ministry of Labor.

Stated objectives: To provide financial assistance to male/female household heads with children in order to guarantee the Family Right of Social Inclusion, ensuring (1) the school attendance and health of children; (2) access of beneficiaries to formal job training and education; and (3) their participation in productive projects or community services. In practice, however, program administrators are not collecting the information on school attendance and heath. Likewise, most beneficiaries participate in traditional workfare activities (community services and small construction projects) and only very few take advantage of the education, training and private sector employment options.

Implementation: The implementation of the program is decentralized through municipalities and communes, in collaboration with the corresponding municipal or communal council. These councils are responsible for the monitoring, transparency, and implementation of the program. The municipalities assign the activities to be undertaken by program beneficiaries in return for the financial assistance they receive. These activities can also be proposed by any public or private nonprofit organization.

Intended beneficiaries: Male/female household heads with children who are either 18 years of age or younger or disabled. Likewise, households in which the female head, spouse, concubine, or cohabitant partner of the male household head suffers from serious health conditions are also eligible. To receive benefits, the household member must provide standard set of information and supporting documentation (birth certificate, national identification number) to the municipal employee handling the registration. The beneficiary is supposed to sign a statement swearing that the information provided is correct. Before making the monthly payments, cross-checks with other data bases are done using the ID number to ensure that the beneficiary is not participating in another program of the Ministry, receiving unemployment insurance, has a formal sector job, or is receiving a cash transfer from another program of the national Government.

Benefits: Monthly payments of 150 pesos.

In **education**, and complementing the IDH, the Social Emergency Program seeks to maintain the provision of education services and to facilitate access by vulnerable groups through two means: (1) providing basic learning materials, which may otherwise be out of reach of poor families, through the new program *Utiles Escolares* (30.8 million pesos) and (2) offering incentives through the program *Becas Estudiantiles* (200.1 million pesos in 2002), and school lunch programs (70 million pesos), through the program *Acciones Compensatorias en Educación*, to encourage school attendance. Most of the funds allocated to these programs in 2002 have been disbursed, although *Utiles Escolares* has experienced implementation problems.

In **health**, the Social Emergency Program aims to protect the most vulnerable and to maintain essential public health programs with support for the functioning of the public hospitals network, provision of essential drugs for the most vulnerable, and protection of priority public health measures. These measures include immunizations, disease control, and ensuring services related to women's reproductive health care and prenatal controls, such as anemia prevention, child delivery, newborn reception, postpartum and child health care, through the provision of

pharmaceutical products, medical supplies, and iron-fortified milk. Essential drugs are provided free of charge to poor people by a new health emergency program called REMEDIAR (7.3 million pesos) through primary health care centers. The program started being implemented in July 2002 and has been subject to significant implementation delays. These delays have resulted in much lower disbursements and coverage than expected for 2002. The same is true, for the same reasons, for programs that provide drugs to combat specific illnesses, such as the national program to combat acquired immunodeficiency syndrome (AIDS) and sexually transmitted diseases (STDs) (2.7 million pesos). For 2003, however, REMEDIAR is expected to reach 157.8 million pesos while the assistance for AIDS and STDs drugs is expected to reach 123.8 million pesos. Vaccinations have been provided through the National Immunization Program (127.5 million pesos). Complementing the efforts of food programs, actions related to maternal and child health and nutrition have been channeled through PROMIN (61.3 million pesos). Finally, an important part of targeted social spending in health continues to be focused on actions directed at those benefiting from non-contributory pensions (144 million pesos). Most of the funds allocated to the last three programs in 2002 have been disbursed.

Within **social security**, funds allocated to pay unemployment benefits seem to have responded somewhat to the rise of unemployment in the formal sector (from 297 million pesos in 2001 to 472.3 million pesos in 2002). However, funds allocated to non-contributory pensions have decreased slightly (from 672 million pesos in 2001 to 639.8 million pesos in 2002).

Within **housing and urban development**, the most important program is PROMEBA which supports community projects aimed at upgrading poor neighborhoods. The program has been subject to significant implementation delays resulting in an unexpected decline in funds disbursed by this program with respect to 2001 (from 12 million pesos in 2001 to 6 million pesos in 2002). In **water and sewerage**, funding for the Program for the Provision of Potable Water and Basic Sanitation (PROPOSA) has increased slightly from 9 million pesos in 2001 to 9.6 million pesos in 2002.

Efficiency and Effectiveness of Targeted Social Spending

In the debate over policies to fight poverty that has taken place over the past few years, there has been a general recognition that important amounts of targeted social spending could be reallocated to finance more effective programs that fight poverty by subsidizing income, either in cash or in kind (for example, food, medicines, learning materials, health treatment). Within income subsidies, cash transfers are considered to be more effective tools for poverty alleviation than in-kind transfers, particularly in the short-run, and to be less subject to the inefficiencies and administrative difficulties related to in-kind transfers. An important part of targeted social spending comprises programs that fight poverty through interventions in specific markets such as housing, health, and education. To determine more precisely the type of intervention to alleviate poverty used by each program, SIEMPRO[37] has proposed the categorization of targeted spending that appears in table 3.3.

[37] SIEMPRO,2002 , *Estructura y Evolución del Gasto Social Focalizado: 1997-2002*, Informe de Gasto Social No. 4, Consejo Nacional de Coordinación de Políticas Sociales, Presidencia de la Nación, Argentina.

Table 3.3. Targeted Social Spending by Type of Intervention

	2001			2002		
	Nominal	Real	% TSS	Nominal	Real	% TSS
Income subsidies and social assistance	1,709	1,629	43.11	4,224	2,662	69.75
In cash	1,343	1,280	33.86	3,691	2,326	60.95
In kind	366	349	9.24	533	336	8.80
Targeted sectoral interventions	527	502	13.29	750	474	12.38
Unclassified transfers to provinces for targeted social spending	1,073	1,022	27.06	1,079	680	17.82
Total	3,308	3,153	100.00	6,096	3,816	100.00

See notes to table 3.1. Targeted sectoral interventions includes social promotion and development, infrastructure (excluding FONAVI), health and education.

As table 3.3 shows, between 2001 and 2002 there has been a significant reallocation of funds toward cash transfers, which accounts for 61 percent of targeted social spending in 2002. This reallocation mainly reflects the introduction of *Jefes y Jefas de Hogar*. As mentioned earlier, the design and implementation of *Jefes y Jefas de Hogar*, as well as IDH, build from the successful experiences of similar programs. These cross-cutting programs are part of a new effort to formulate more effective and efficient social policies in the face of the deep crisis in the labor market and the failure of more traditional social policies. In contrast with *Jefes y Jefas de Hogar*, however, IDH has been subject to serious implementation difficulties, resulting in significant delays. This is partly explained by the different targeting mechanisms used by each program: *Jefes y Jefas de Hogar* is a self-targeted program while IDH is a means tested program.

SIEMPRO[38] points out that, given the magnitude and seriousness of the social crisis, an immediate first step should be to reallocate funds to cash transfers. To this extent, it identifies substantial cost-saving opportunities in the funds allocated to social promotion and development (which includes programs aimed at building the capacity of individuals) and in-kind transfers. Part of these funds is used to finance an important number of small-scale programs with high operational costs *and* high degree of duplication. In these areas, it could be possible to obtain gains in effectiveness and efficiency by merging programs and overlapping institutions and through the implementation of management models that emphasize results.

The fragmentation of programs within institutions and overlapping program objectives across institutions is a reflection of a broader and more serious problem, which is the historical lack of coordination of social policies, and thus the lack of a clearly defined safety net strategy. This situation appears to have improved in 2002 with the introduction of the *Consejo Nacional de Coordinación de Políticas Sociales* (CNCPS). An important tool in this new coordination effort is the description of social programs provided in *Guía de Programas Sociales*[39].

Historically, very little has been publicly known about the coverage and efficiency of social-assistance programs. Basic monitoring data on the number of beneficiaries and budgets have been often lacking or unreliable. This basic information is now provided by SIEMPRO for

[38] SIEMPRO, 2002, *Estructura y Evolution, op.cit.*
[39] SIEMPRO, 2002, *Guía de Programas Sociales Nacionales 2002*, Consejo Nacional de Coordinación de Políticas Sociales, Presidencia de la Nación, Argentina

national and provincial programs, although the latter is still limited.[40] In addition, an Integrated Monitoring System (SIM) has been recently re-introduced by SIEMPRO, which tracks the performance of programs in terms of indicators of implementation, product indicators (for example, unitary costs), coverage, results, and context. Although these are steps in the right direction, it is still unclear how relevant and effective these new instruments are in practice.

Targeting is an issue closely linked to the efficiency and effectiveness of social-assistance programs. The Index of Unsatisfied Needs (*Necessidades Basicas Insatisfechas* --NBI) has been the most common indicator used for targeting social programs. This index mainly measures structural poverty, weighting more heavily those aspects that persist over time as well as housing conditions. Using the 1997 *Encuesta de Desarrollo Social* (EDS), the Bank's report *Poor People in a Rich Country* (2000) found that while social-assistance programs appeared to be strongly pro-poor overall, there was considerable leakage to non-poor (35 percent of the benefits). More troublesome, 70 percent of the poorest quintile were not getting any benefits. The same picture holds when looking at food and nutrition programs, while housing programs were found to be badly targeted to the poor. On employment, the workfare program *Trabajar* was found to be well-targeted to the poor.[41]. In fact, *Trabajar* performed better than any other social-assistance program for which incidence analysis has been carried out, which proves the power of self-targeting mechanisms. Finally, on community development, the program FOPAR has been found to be the second best well-targeted program[42], which comes from a combination of careful geographic targeting and good self-targeting.

In an attempt to overcome the deficiencies of the NBI, SIEMPRO has recently developed the Index of Quality of Life (ICV), which approximates household per-capita income through 22 variables that cover a broad range of structural as well as transitory aspects of poverty. This index is currently under trial and has been used to identify beneficiaries for the IDH. This index is part of a broader System for the Identification and Selection of Current and Potential Beneficiary Families of Social Programs (SISFAM), which is a database that includes socioeconomic and demographic information of the poor and vulnerable at both provincial and municipal levels. This tool will be used to identify beneficiaries for different types of programs using a variety of indicators as well as to identity new areas of intervention. It will also facilitate the analysis of benefit incidence. However, it is not possible to know how well targeted the 2002 social programs are with the tools available. In particular, the only socioeconomic survey that is collected on a regular basis (that is, EPH) does not collect information on program participation, except for the October 2002 wave, which includes information on *Jefes and Jefas de Hogar*. This deficiency calls for the need to develop more appropriate data instruments.

This problem is common to ***impact evaluations***, a key component in assessing the performance of programs in reducing poverty. Despite their strategic importance, impact evaluation studies are almost non-existent. In fact, the only true assessment of causality has been done for *Trabajar* (Jalan and Ravallion, 1999). As regards programs included in the 2002

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[40] Despite the efforts to consolidate public spending information from the national government, provinces and municipalities, the budget information by individual program is only available at the national level.

[41] Jalan, J. and M. Ravallion, 1999, *Income Gains to the Poor from Workfare: Estimates for Argentina's Trabajar Program*, World Bank, Washington, DC.

[42] SIEMPRO, 1997, Programa Fondo Participativo de Inversión Social (FOPAR): Evaluación ex post de proyectos, Consejo Nacional de Coordinación de Políticas Sociales, Presidencia de la Nación, Argentina.

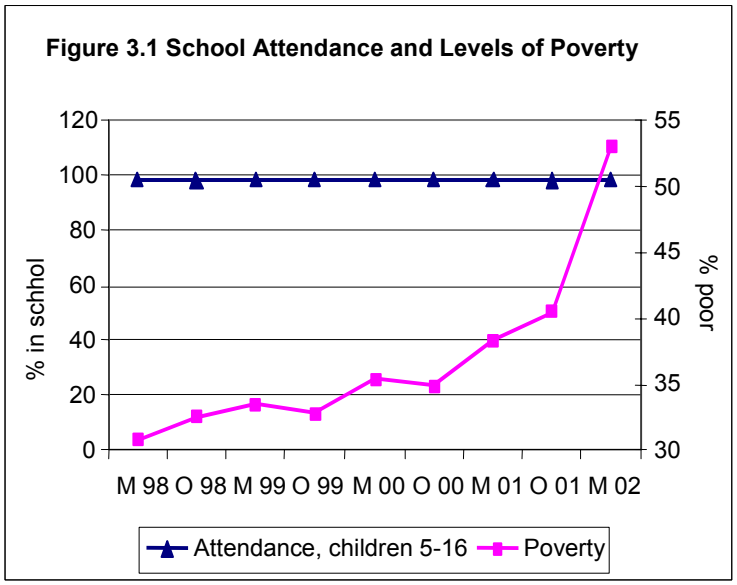
budget, structured impact evaluation is contemplated for *Jefes and Jefas*, using a special module included in the 2002 October's EPH. Evaluating the impact of, at least, major social assistance programs is particularly important in crises as it provides the necessary feedback for possible corrections.

Impact of the Crisis on Education

In the beginning of the 1990s, Argentina embarked on a major series of reforms of the education sector. The two most important elements of the reforms were (1) completion of the process of decentralization of the educational system to the provinces, and (2) an extension of the years of compulsory schooling from 7 years to 10 years. Under the decentralization reform, the provinces would run their own schools, while the federal government was assigned the responsibility for maintaining the quality and the equity of education provided by the provinces

At the time that the major effects of the fiscal crisis began to take effect at the beginning of 2000, a snapshot of the different educational systems of the provinces reveals different stages of completion of the reform process initiated 10 years before. Even as inequality of educational opportunity in Argentina had been reduced significantly, the crisis came at a time when differences remained very high, particularly in regard to educational quality and access to secondary education. Provinces had shown different levels of political support for the reforms and had used their own resources as well as transfers from the federal government with widely varying levels of efficiency. It is possible that the halt in the progress of the educational reform that did take place after 2000 would have occurred regardless of the initial macroeconomic manifestations of the crisis. In any case, it can be said that the crisis was coterminous with the reform being halted in its tracks.

As shown in chapter 2, coping strategies of households have not included the withdrawal of children from school. We see that as poverty increased steadily from 1998 through 2002, the enrollment of children aged 6 to 15 years remained constant at around 98 percent (see figure 3.1).



Looking at year-to-year dropout rates using the fact that 75 percent of households are retained in the sample of the EPH from one round to the next, we find no difference in dropout behavior prior to the crisis and during the crisis. For those aged 18 to –25 years, there appears in fact to be a slight increase in enrollments. The household behavior can probably be explained by high tastes for schooling and the lowered opportunity cost of time away from school. There is a vast literature that has examined the question of whether enrollments are pro-

cyclical or anti-cyclical. On the whole, this literature suggests that enrollments are anti-cyclical, though a lot depends on specific circumstances of the country. On the negative side, households did reduce their consumption of school supplies to cope with sliding incomes. As the crisis induced the governments to scale back their own provision of educational materials, the reduction in purchases of school supplies is disturbing, as it would have a higher effect on students from poor families, given their greater dependence on provision from the school and initial low levels of private supplies and consequent high marginal impacts.

The total of public education expenditures has not changed much because of the crisis, whether one looks at federal expenditures or provincial expenditures. However, a look at the total expenditures does not reveal the complete picture. Approximately 75 percent of federal education expenditures go to the federal universities, which have a potent lobby in the political process, and university expenses were virtually untouched. The federal government also used to provide transfers to provincial governments with regard to salary expenditures for non-university higher education, and a so-called incentive fund that provided universal increments to teachers from an earmarked tax. The picture is murky regarding aspects of the federal salary-related transfers, but these expenditures have been cut back. The main impact of the crisis has been the drastic reduction of federal aid to provinces for compensatory programs and federal transfers to provinces to complete the reform process of extending the years of compulsory schooling. The federal government has replaced these expenditures with programs that are more of the nature of social assistance, such as nutritional programs to provide school lunches and cash-transfer programs to children from poor families. As regards the provinces, the main fiscal impact has been regarding the cash position of provinces. There has been a significant increase in arrears on teacher salaries, and an increase in the use of provincial *bonos* to pay teachers, with consequent erosion of purchasing power.[43]

Payment problems for teacher salaries aggravated the labor-market conditions of teachers that are fraught with political tension even in normal times. The resultant loss of teacher days resulting from officially registered strikes is a lower bound on the real number of school days lost, as in some of the provinces the school was officially open, but the only function was to provide the school breakfast or the school lunch. Teachers who suspended teaching activities apparently do not want to face the opprobrium of the community, particularly in the case of poor communities where the nutrition provided by the school is seen as a major benefit for the students. Even as the official data suggest tens of days lost because of strikes in some provinces, there is anecdotal evidence to suggest that in many cases, schools opened even on holidays as feeding centers for children. Even as high priority was paid to school feeding programs, the erosion of the school's primary function as a place to provide education may result in damaging long-term effects, especially as school quality was not good in some schools in the first place.

The federal government discontinued the financing of earlier programs to help provinces with school construction and teacher training associated with the educational reform, as well as compensatory programs that provided school equipment and materials to schools serving children from poor families. The provincial governments, strapped for finances, have not been able to replace the loss of federal transfers with their own revenues or savings generated from

[43] These *bonos* are essentially provincially issued monetary instruments, which are accepted as a medium of exchange only within the province that issues them, and usually trade at a discount with respect to the peso.

efficiency improvements. Beginning in 2001, but particularly in 2002, the federal government began to devote substantially higher resources for transfers to provinces for school lunches (before the crisis, an exclusively provincial item of expenditures) and increased the amount of financing for means-tested scholarships for secondary education.

No data are available that enable monitoring of the effect of the crisis on test scores of students. However, regression analysis on older, cross-sectional data on test scores can be used to measure the impact of variables that would have suffered changes because of the crisis. A simple regression analysis using test score data from 2000 shows appreciable effects of what we term as "transitory variables." For instance, the magnitude of the effect of 10 days of schooling lost is equivalent to the effect of reducing by one year the education of the mother. The analysis of impact on school quality shows the possible harmful long-term educational effects of the crisis. As children from poor families tend to have worse academic results because of a combination of family influences as well as poor provision of quality education, children from poor families suffer disproportionately when there is a systemic decline in educational quality.

Impact on the Health Sector

Four main factors can explain the acute effects of the crisis on the health sector: (1) a progressive deterioration in the financing of the different subsystems (fell by 15.5 percent during the first 8 months of 2002); (2) a rise in the cost of imported medications and biomedical inputs as a result of devaluation; (3) an increase in the demand for public hospital services; and (4) higher epidemiological risks. The first two factors reduce the effectiveness of service supply, while the last two increase the demand for services.

Health Insurance

The crisis harmed the finances and ability to provide health care of the principal subsectors offering formal health insurance coverage in Argentina - the SNSS, PAMI, the provincial public insurers and the private sector:

SNSS. (The National Health Insurance System --*Sistema Nacional de Seguro de Salud*[44]). Between the first semester of 2001 and the first semester of 2002, total revenues of the SNSS—which covers 10.8 million citizens (roughly 30 percent of the population, mostly belonging to the formal economy)[45]—fell 12 percent. By January 2002, 62 percent of the *obras sociales nacionales* (union organized health programs --OSNs) in the city of Buenos Aires did not comply with the provision of the mandatory health benefits package (*Plan Médico Obligatorio*, PMO) to their affiliates. In other regions of the country, noncompliance surpassed 80 percent. If current regulations (on service provision, financial, economic, and administrative requirements) for national insurer funds were applied, a significant percentage of the 280 existing OSNs would require in-depth restructuring or exclusion from the system. Today, 38 OSNs (covering 10 percent of the insured population) are legally bankrupt.

[44]In Argentina, payroll deductions finance the SNSS. The system is run by the *Obras Sociales*, which are union-organized health insurance entities responsible for providing services for their members, mostly by contracting with private providers.

[45] This figure doesn't include the population affiliated to the Social Security Institute for Retirees and Pensioners (INSSJyP or PAMI).

PAMI. This program provides health services for retirees and pensioners and is responsible for 3.2 million people, most of them retired elderly. It saw its revenues fall by nearly 40 percent during the last months of 2001 and the beginning of 2002. Medical assistance (and pharmacy services) are periodically cut off for PAMI beneficiaries throughout the country. The suspension of basic services, the growth in waiting lines for elective procedures, and the increase in patient referrals to public hospitals all signal deteriorating quality.

Provincial health funds. The situation of most provincial public health insurers (*obras sociales provinciales*, OSPs) is expected to be similar to that of the OSNs and PAMI, with some sporadic exceptions. But up-to-date consolidated information on the situation of the 24 autonomous OSPs, which provide insurance coverage to approximately 5.5 million people (15 percent of the population, mostly provincial public employees and their dependents) is not available.

Private Subsector

The private health insurance subsector has contracted as a result of the crisis. Between October 2001 and June 2002, the proportion of the population covered by private insurance schemes fell 8 percent to under 3 million. Likewise, the percentage of the population with double insurance coverage decreased.

The government has attempted to confront this health insurance crisis mainly by increasing revenues of national-level insurers via higher mandatory employer contributions. New legislative measures have increased employer contributions to OSNs and PAMI. These actions have incremented net revenues with respect to 2001, but not to prior levels, and mid- and long-term effects still need to be discussed. Simultaneously, an attempt has been made to strengthen the redistribution capacity of the Solidarity Redistribution Fund (*Fondo Solidario de Redistribución*, FSR), which is responsible for a partial redistribution of funds from higher-income workers to lower-income ones exclusively within the SNSS.

Such actions, however, do not address chronic inefficiencies in these subsectors. Structural reforms are pending. Reform attempts (before the crisis) that sought to contain costs and improve service provision in PAMI, the OSNs, and several of the OSPs failed. Chronic debts have kept growing, while public hospitals and out-of-pocket expenditures remain the escape goat for poor service responsiveness. Among the OSNs, the accumulated debt to external providers was approximately A$1,040 million in August 2002. In PAMI, by the end of 2001, it reached A$1,867 million (more than 75 percent of its total annual budget). This total was reached in spite of the national treasury's "additional" contributions of nearly A$1,700 million between 1995 and 2001.

Public Subsector

Public hospitals in Argentina, most of which belong to the provinces, are responsible for providing services to uninsured citizens, most of whom are poor. As a result of the crisis, these hospitals are confronted with (1) delays in the flow of funds (a consequence of the poor fiscal situation of provinces plus difficulties with federal transfers), and (2) increases in the demand for

services. Between October 2001 and May 2002, the percentage of the population that had health coverage only through public hospitals rose from 36 to 43 percent.

As a result, there has been in recent months a serious crisis of medical supplies throughout the public hospital network. The lack of inputs (especially medications and surgical materials) has affected the quality of care. The situation in the primary healthcare network is also worrisome. Anecdotal evidence reveals difficulties in timely provision of basic preventive care (for example, toxoplasma and syphilis detection tests during pregnancy). The pressure for maintaining high-complexity expenditures may further shrink the already low resources allocated to primary healthcare (usually close to 8 percent of the total sector budget in most provinces). A similar situation could occur with public health programs, precisely when they need to be reinforced because of greater demand and epidemiological risk.

But, as with the health insurance subsector, it is necessary to acknowledge the existence of long-dated deficiencies in public hospitals that aggravate the current situation. An important deficiency is the presence of a chronic regressive subsidy from public hospital budgets (intended for the poor uninsured) to health insurers. This subsidy arises when services are rendered to insured patients in public facilities without subsequent cost recovery by their third-party payers. It is estimated that around 30 percent of individuals receiving care in public hospitals in Argentina have some type of health insurance.[46] Billing to and cost reimbursement from insurers, however, is minimal, accounting for far less than 5 percent of the total operating budget of those few hospitals that get involved in this process. Since 2000, and contrary to what would be expected, total public hospital billing to social security has gone down, and insurers are rejecting more bills.

Impact on the Health of the Population

As noted earlier, one coping strategy those affected by the crisis use is to reduce out-of-pocket expenditures for health services and medicines, including reducing doctor visits. In addition, many people have lost, or have been forced to change their health insurance coverage. The deterioration of the social and economic conditions of a large part of the population, added to weakened national and provincial basic public health programs, is expected to result in an increase in morbidity and mortality among the population. Initial data suggest that mother and child health are at risk. The information system of the PROMIN project reveals that between July 2000 and September 2001 there was a fall in the coverage and quality of mother-infant services in a group of health centers located in poor urban areas. As mentioned above, results from the World Bank Crisis Survey support these findings. While, on average, 38 percent of households report that since October 2001, they take their children to preventive medical controls less frequently, this change has been more severe in the poorer quintile, in which 57 percent of the households report a decrease in the frequency of preventive controls for their children. Vaccination programs have also suffered from irregular supply, and the Ministry of Health estimated that in 2001, 30 percent of the infant population did not have access to one of the vaccine provided by the PAI, (Public Immunization Program) and effective coverage dropped in the national aggregate.

[46] 1997 Social Development Survey and 2002 World Bank Crisis Survey.

In addition to maternal and child health, the deterioration of the social and economic conditions of the population let us anticipate that, if timely actions are not taken, the country will experience an increase in endemic and seasonal diseases. The epidemiological surveillance system reports an increase in some endemic disease cases such as AIDS, Chagas disease, and leishmaniasis in the first semester of 2002, as compared with 2001. As of August 2002, there was no increase in the number of notified cases of acute diarrheic diseases, upper respiratory infections, or meningitis. But, in the latter case, the percentage of cases with "nonspecified" etiology doubled compared with the same period in 2001.

Finally, there is evidence of an increase in violence against individuals and of mental health problems. According to the World Bank Crisis Survey, 20 percent of the population reported that they have been the victims of crime or violence instances between October 2001 and June 2002. Moreover changes in the mental and emotional status of individuals are being observed, with a higher percentage of surveyed households reporting that they feel discouraged or without hope for the future, compared with how they felt before October 2001. Mental illnesses have already recorded a doubling of emergency consultations, and suicide is a particularly worrying subject as it seems to be increasing among adolescents.

Impact on affordability of basic infrastructure services

The Government's immediate response to the crisis in the infrastructure sectors was to pesify (convert from dollars into pesos) all tariffs for infrastructure services at a rate of 1:1 and freeze them pending a general process of renegotiation with the private concessionaires. Despite initial plans to conclude the renegotiation process within 120 days, utility tariffs have remained frozen in nominal terms throughout 2002, in contrast with other basic consumer goods whose prices have risen by around 30% on average over the same period. Although this has avoided the social consequences of a tariff increase, it is not financially sustainable given that a significant proportion of the operating and financing costs of the infrastructure providers are denominated in foreign currencies. As a result, operators have already defaulted on about half of their US$16 billion of dollar denominated debt. Some tariff increases therefore appear unavoidable if the solvency of the sector is to be maintained.

This is evidently a significant social concern given that—even at current frozen tariff levels—expenditure on household utilities (electricity, gas, water, sewerage and telephone) accounts for 22% of the income of the first quintile, and 16% of the income of the second quintile (Foster and CEER, Background Paper No. 9). These values represent a doubling of the household budget share allocated to these services, when compared with the situation that prevailed in 1997 (when the last national expenditure survey was conducted). They are also high relative to typical international parameters of between 10% and 15%. Clearly, any future tariff increases would further raise these shares, indicating a genuine affordability problem that needs to be addressed.

Table 3.4: Comparative analysis of social tariff proposals

	Source of finance	Nature of benefit	Beneficiaries
ADESPA	Cross-subsidy, tax exemption or subsidy	Exemption from emergency tariff increase	Those meeting poverty criteria as per census or household surveys.
ADIGAS	Cross-subsidy between customers.	Exemption from emergency tariff increase	Jefes y Jefas and low income pensiones, with <50% average consumption.
Electricity sector	Off-setting tax reduction in tax burden on the sector	Exemption from emergency tariff increase	Unclear
Gas sector	Off-setting tax reduction in tax burden on the sector	Exemption from emergency tariff increase	Unclear
Congress	Exemption from VAT, plus 'concessionaire finance'	Tariff discount of 40%	Beneficiaries of other social programs
Metrovias	Direct government subsidy (from Fondo Fiduciario)	Tariff discount of 20%	Beneficiaries of other social programs

This situation has led to widespread demands for the development of a social tariff, that would insulate the most vulnerable households from the impact of any future tariff increases. A number of specific proposals have been circulated (Table 3.4). Most rely on providing discounted tariffs for subsistence levels of consumption, or for families that are already beneficiaries of existing social programs, such as the *Jefes y Jefas* program, and most propose financing via cross-subsidies or fiscal credits.

Table 3.5: Summary of social policies for infrastructure services

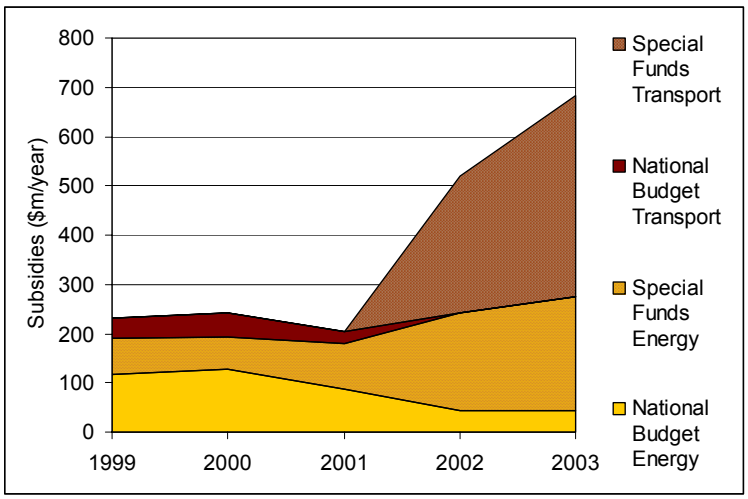
	National schemes	Company specific schemes
Electricity	Electricity Tariff Compensation Fund, financed from $0.024/kWh surcharge on wholesale electricity market, raises annual resources of $100m to finance a wide variety of tariff discounts to rural consumers, industrial customers, and social cases in the Provinces.	Electricity distributors in 18 Provinces apply social tariff schemes, some funded directly from the ETCF, others through cross-subsidy.
Gas	Patagonian gas subsidy, funded from surcharge of $0.004/m^3 on gas sales, raises annual resources of $100m to finance tariff discounts of around 75% on basic fuel requirements in the Patagonian region.	None.
Telecom	Universal Service Fund, financed from 1% levy on telephone bills, raises $115m annually. These are intended to cover a range of social and public telephony programs. However, the fund is not yet operational.	Major operators offer discounted payment plans to small consumers and pensioners, as well as discounted public payphone services in low income areas and isolated communities.
Transport	Transport Infrastructure Trust Fund, financed from 18.5% tax on diesel, allocates 40% of its resources to subsidize urban rail and bus services in GBA, amounting to $170m annually.	Most operators practice a number of specific franchises for pensioners, school students, and other privileged groups.
Water	None.	Water utilities in GBA and 7 Provinces apply social tariff schemes, some funded directly from the General Budget, others through cross-subsidy.

Source: Adapted from Foster *et al*., 2002

The introduction of a social tariff of this kind is complicated by the absence of any coherent safety net policy for the infrastructure sectors upon which such a mechanism might be built. Initially, the social dimension of infrastructure services was largely overlooked during the Argentine privatization program of the 1990s. This omission rapidly became apparent in numerous situations, prompting the development of a wide variety of *ad hoc* social policy mechanisms to finance tariff discounts in different sectors in different jurisdictions. These mechanisms primarily take the form of special surcharges on electricity, gas and petroleum products, which are earmarked for specific social purposes. Major examples include the Transport Infrastructure Trust Fund providing operational subsidies to the urban transport sector in GBA, the Electricity Tariff Compensation Fund financing a diverse array of tariff discounts in the Provinces, and the Patagonian Gas Fund reducing the cost of gas for residents of the extreme south (Table 3.5).

There has been a growing tendency for these resources to be channeled through extra-budgetary trust funds, rather than coming directly from the public budget (Figure 3.2). Although these instruments absorb a substantial and growing volume of resources, estimated to amount to $680m in 2003, the available evidence suggests that they are not particularly effective in reaching the poor. This is particularly unfortunate given the present need to mitigate the social concerns raised by the renegotiation process and resulting tariff adjustments for essential services.

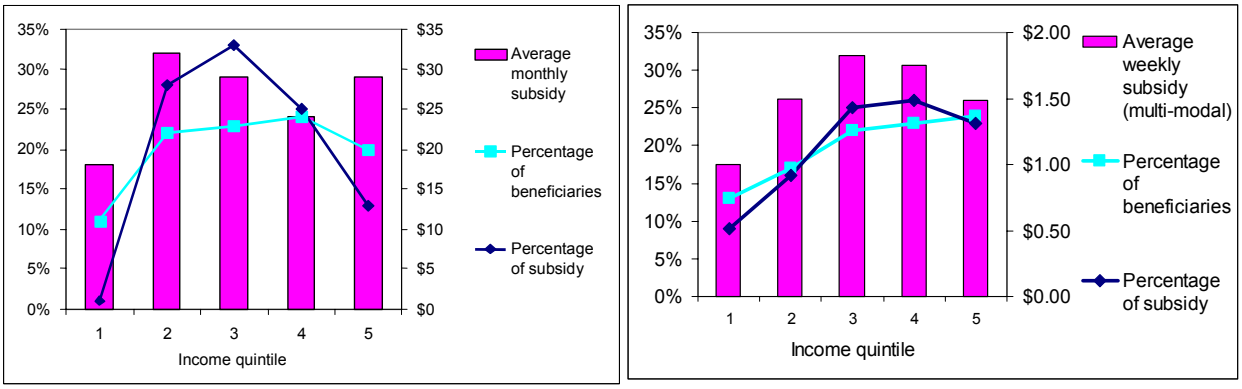
Figure 3.2: Evolution of user subsidies for energy and transport services



About three quarters of the resources channeled to the existing subsidy schemes take the form of supply side subsidies, primarily to transport operators. These are equivalent to an implicit price reduction of $0.09 per bus passenger, $0.14 per metro-rail passenger, and $0.25 per suburban rail passenger. Given that these subsidies benefit all customers, with no particular attempt to target resources to the poor, it is not surprising to find that the distribution of these resources is skewed towards the upper middle income groups (Figure 3.3a). A recent study estimates concentration coefficients for subsidies received by metropolitan commuters that range from +0.09 for suburban rail, +0.16 for bus, and +0.36 for metro-rail.

Most of the remaining subsidy resources take the form of demand-side subsidies for energy consumption targeted to certain geographical areas, based on criteria that have little to do with poverty. Thus, 92% of the resources of the Electricity Tariff Compensation Fund go to the smaller Provinces of the interior which have only 44% of the nation's poor. Moreover, Provinces have a large degree of discretion over how these funds are used and it is not clear to what extent they are allocated to social tariff schemes. Similarly, 100% of the resources of the Patagonian gas subsidy go to the far south which has only 3% of the nation's poor. Moreover, even within Patagonia the gas subsidy was found to have a concentration coefficient of +0.08, indicating that its effect on income distribution is mildly regressive (Figure 3.3b). Seen from a national perspective, the Patagonian gas subsidy excludes 95% of poor gas consumers in Argentina, while 63% of its beneficiaries are non-poor households.

Figure 3.3: Distributional incidence of subsidy schemes in energy and transport



(a) Patagonian gas subsidy **(b) Metropolitan urban transport subsidy**

It is noteworthy that the water sector has no national social policy to compared with those found for electricity and gas. Notwithstanding, social tariff schemes have been developed in GBA, as well as seven Provinces. These use a wide variety of targeting mechanisms including neighborhood, retirement status, income level, and housing characteristics. The limited evidence available suggests that these are relatively effective at targeting resources towards the poor. However, they are small in scale, benefiting no more than 100,000 households nationwide with an aggregate budget of $10m.

Simulations of alternative uses of these various funds show that targeting performance could be substantially improved if resources were allocated on the basis of a weighted average of poverty proxies based on housing characteristics, along the lines of what is currently practiced in a number of Provinces that provide social tariffs for water (Foster and CEER, Background Paper no. 9).

Despite extensive discussion of the need for social tariffs, little has been done to estimate the cost of such a policy. In order to provide an illustration of the possible costs, it is assumed that the policy objective would be to keep the cost of subsistence water, sewerage, electricity and gas bills for poor households below 15% of income. At current prices, the total cost of this policy would be around $300 million per year, which is well within the current overall subsidy envelope for these sectors, but is substantially more than the $210 million that are currently estimated to be spent on subsidizing water and energy tariffs. This assumes, however, that prices remain fixed

at current levels, which are financially non-viable for the providers. If all prices were to increase by 10%, the cost of the policy would escalate to $390m, while a 30% tariff increase would generate a cost of $560m.

Looking further ahead, as incomes recover and the affordability concerns raised by the current crisis begin to ease, the social policy framework should also consider measures to promote access to water, sewerage, and natural gas services among the lowest income groups, where substantial coverage deficits still remain. In the case of water and sewerage, there is an evident public health case for seeking to achieve universal access. In the case of natural gas, those who lack access suffer a significant economic disadvantage, given that the closest substitute, LPG cylinders, cost five times as much per effective unit of energy delivered. In both instances, the substantial connection charges and intra-household investments associated with connecting to the network, represent a major barrier to access for low income households. Furthermore, connection subsidies are by far the most effective way of reaching genuinely poor households. Simulations performed in a recent study, find that the concentration coefficient associated with connection subsidies are strongly progressive, with values ranging from –0.30 to –0.40, compared with only –0.10 to –0.20 for even well-targeted consumption subsidies (see Background Paper No. 8). However, any subsidies given need to be carefully targeted and be affordable, and not become a fiscal drain on the government's general revenues. Such general subsidies, once enacted, become both costly and difficult to remove.

CHAPTER 4

POLICY IMPLICATIONS AND THE FUTURE

This brief survey of current economic and social conditions describes the impact of the current crisis on the poor and how the current crisis has generated more poverty in the country. There are some hopeful signs that the economy may be recovering in first half of 2003. These include an increase in economic activity, a stabilization of the exchange-rate, and a reduction in the rate of inflation. Nevertheless, the economic situation remains precarious, and the prospects for a rapid and sustainable recovery of the economy are uncertain. At the same time, the crisis itself constrains the actions of the government in terms of how it might respond to the social problems created by the crisis: resources are scarce and options are few. The previous analysis, however, does point to some positive steps that a new government might consider.

Short-Term Issues for a Pro-Poor Recovery

Growth and Macro Policies[47]

Clearly, one of the best ways to reduce poverty is to have high and sustained growth. Growth in turn depends on a stable macro-environment and sound economic management, both of which have been absent in recent years. The Convertibility Plan, as successful as it was in controlling inflation after 1990, also brought with it all of the negative effects of a fixed exchange-rate regime. Without the ability to adjust the real exchange rate, the government was left with two choices: borrow money or reduce nominal wages and prices. Given rigidities, the latter proved impossible, and when credit access was cut off after 1998, the long-term position became untenable. The restoration of a viable exchange rate, and the use of inflation to adjust real wages, has provided the basis for an improved fiscal balance and a potential recovery.

The government, however, still faces serious issues in fiscal and financial sector management. Past actions, including the freeze on deposits, and the break of the dollar-peso link, have reduced faith in the financial system and eliminated the sources of credit needed to finance a recovery. While the Government has lifted the freeze on deposits , the financial system remains weak. There is a need to generate fiscal surpluses to reduce the large public sector deficit, which tripled in the past year with respect to GDP as a result both of devaluation, and the need to compensate banks for the conversion of their assets and liabilities into pesos. The task of generating a fiscal surplus will be difficult without efforts to broaden the tax base and better enforce existing tax obligations. Fiscal relations between the federal government and the provinces need to be recast into a sounder and more sustainable framework. Issues of governance need to be addressed. Until these problems can be overcome, a strong recovery, and a substantial reduction in poverty are unlikely.

While good macro policies can provide a stable environment that promotes investment and growth, positive actions need to be taken by the Government to encourage strong, private sector led growth. One of the most important is to restore property rights and the health of the

[47] For a more complete review of these issues see the forthcoming World Bank report on "Sources of Growth".

banking system. Other areas of importance include improving the regulatory framework for infrastructure, eliminating tax distortions, and reducing the costs of starting a business. Another area is the need to provide more incentives to exporters, by eliminating export taxes and/or accelerating reimbursements of taxes paid by exporters.

Recommendations to reduce taxes on exports, and on labor (see below), while increasing spending on education, health and social protection, while at the same time maintaining a fiscal balance may appear contradictory. Such steps are viable if taken in concert with a general reform of the tax system, particularly one that would move to greater reliance on a progressive income tax and less reliance on the more regressive value-added tax. Such an approach would help reduce the wide disparities in income distribution which have been characteristic of the Argentine economy.

Safety Nets/Severance Payments

Government programs still do not provide an adequate safety net for the unemployed during a recession. It is clear from the history of the past ten years that Argentina continues to be faced by recurring crises, with the potential for reduced wages and unemployment. Furthermore, the poor seem to be more prone to risks, in terms of changes incomes, than the poor. Following the framework laid out in *Securing Our Future*[48], we know that risks can be mitigated either through self-insurance, or through risk-pooling arrangements. There are few opportunities for risk pooling, since the present system of unemployment insurance is small and inadequate. Workers who relied on self-insurance via accounts in banks lost much of their safety net when these accounts were frozen, and converted from pesos to dollars. Emergency public programs have helped. However, while the expanded *Jefes* program has absorbed 2 million unemployed, and it accounts for 7.5% of the current expenditures of the national government, it has reduced unemployment by at most 4 percentage points. In general, overall social expenditures still tend to fall with a crisis, although programs targeted to the poor have increased in 2002. However, with the large increase in poverty, targeted social spending *per poor person* has actually declined. Safety net programs are scattered across the government, and many programs are costly and duplicate other programs. Smaller, inefficient programs should be combined.

Education

The provision of educational services needs to be maintained, particularly with regard to payment of teachers, as the welfare effects go beyond the immediate income levels of teachers. Whereas there may be heightened demand for social assistance (cash and food transfers), it needs to be considered carefully whether the objective of school-based transfer programs is to provide or strengthen a safety net, or to further educational objectives. The danger of ambiguous objectives is that there may be a failure to meet either one of them. There may be more effective and efficient mechanisms of providing social assistance than through the educational system, and the possible illusion that a social-assistance policy is educational policy may lead to a neglect of educational objectives. While cash-transfer programs designed to encourage school attendance may be helping to maintain school attendance, their effectiveness needs to be evaluated against other strategies for improving education. Federal government education allowances to provinces

[48] DeFerranti et. al.

should be adjusted to insure equity between provinces, with a bias toward those with the greatest poverty. High priority should be given to the strengthening of information systems and the use of them to inform educational policy. Such measures should be complemented and strengthened through the encouragement of community participation. The all important question of the wage bill and teacher deployment to schools is amenable to solutions through better use of existing information, – absent a concerted effort on these grounds, the employment of teachers and school principals would continue to focus on generating public sector employment rather than providing quality educational services.

Health

In the midst of the on-going social crisis, the first priority in health is to guarantee access for all of the population, particularly the poor who lack insurance and have less ability to pay, to a minimum package of treatments and medicines aimed at the major health risks. In this context, the Government should protect financing of priority programs such as those for maternal-child health, immunizations, and public health (epidemiological surveillance, control of transmittable diseases and others). More specifically, the gradual implementation of an infant and maternal health insurance and the definition of and agreement on provincial health goals (with monitorable health indicators) seem to be two key initial steps towards more effective protection for the poor uninsured.

Other needed government actions must simultaneously address chronic inefficiencies in the health sector, freeing up scarce resources to support the above and improving the effectiveness of health care for the poor. Main actions here include eliminating inefficiencies and overlaps in national-level insurance programs such as PAMI and the *Obras Sociales*, and in the interface between the public hospitals and the social security system (enhancing cost recovery by the former); strengthening the regulatory framework of the health sector, as well as the institutional capacity of the regulatory agencies; and improving the performance of the public hospital network, emphasizing primary health care.

Longer-Term Poverty Reduction Measures

In the longer-term, anti-poverty efforts need to focus on two broad areas:

- First, reforms and policies that will lead to a pattern of growth that will be more rapid overall, and feature a higher level of **employment** per unit of output.
- Second, provide a better and more secure **safety net**; and
- Third, improve the access of the poor to **basic services**, that will both raise their overall welfare and, by improving their human capital, improve the productivity and their ability to compete in an increasingly globalized economy;

Generating Labor Intensive Growth. Macro-economic policies that permit rapid and stable economic growth without inflation are an essential first step to a significant decline in poverty. Growth alone is not sufficient, if it does not increase demand for labor, particularly the low skilled labor of the poor. This is more likely to happen if Argentina's labor markets operate

efficiently. However, Argentina's labor market is one of the most rigid and regulated in the developing world, preventing wage adjustments from taking place easily. Some of key short term reforms that would facilitate a more orderly operation of the labor market include[49]:

- elimination of centralized or sectoral collective bargaining agreements which are automatically extended to all workers in a sector, even if not signed and even when expired;
- reduce the high cost of labor by reducing labor taxes, including severance payments;
- allow temporary employment that is not subject to payroll taxes, as under the former *modalidades promovidas*, and
- extending programs which permit exceptions for small scale enterprises.

In the longer term, the critical problem remains that a large part of the labor force in the informal sector lacks any form of pension or unemployment insurance coverage. A major reform of the labor laws that would reduce their present high level of protectiveness should be followed by an extension of coverage to small firms and others in the now informal sector. At present, the high cost of complying with the labor laws serves as a major disincentive to firms moving to the formal sector; labor reform needs to reduce taxes on labor and improve real benefits so that there is an incentive to being formal. The gap between formal and informal workers also helps aggravate the problem of the unequal distribution of income.

Providing a More Secure Safety Net. The main safety net for workers in the formal sector is the severance payment owed to formal-sector workers upon job termination. In the current crisis, however, the practice has been that this type of unemployment compensation leads to a negotiated settlement rather than a guaranteed benefit. For bankrupt firms, it is likely there could be no payment at all since these obligations are not pre-funded. One possibility would be to obligate firms to pre-fund severance obligations in a segregated account. A better arrangement would be a major expansion unemployment insurance, with either a fixed benefit, or a benefit based on some proportion of average wages, and a fixed limit on total payments. These benefits might be financed from individual accounts supplemented by some guaranteed minimum payment from the public sector.

Such a system has to be carefully designed to ensure that unemployment insurance does not act as a major disincentive to searching for work, and that firms comply with requirements to collect and pay unemployment taxes. Benefits that decline over time, and stop altogether after a fixed period, help provide incentives for workers to continue searching for work. Alternatively, severance payment obligations of corporations could be fully funded and sequestered from financial accounts of employers. However, any such reform should be extended to include more of the employees now in the informal sector, who have neither severance payments nor unemployment benefits and are outside of the social security system. Such an extension, however, implies that these employees move from the informal to the formal system, and pay social security and other wage taxes, and are covered by the labor code. This would further reduce labor market flexibility, given the rigidities inherent in the present labor code. Thus,

[49] Admittedly, these reforms were more urgent during the Convertibility era, when flexibility in domestic wages and prices were the only adjustment mechanisms available. In addition, some reforms were undertaken during the 1990s, and unemployment increased, raising questions about the strategy. However, the overall impact of reforms during this period had only a minor impact of labor market rigidity, and unemployment situation was a product of other factors, including slow growth and public sector privatizations.

unemployment insurance reform should be accompanied by a liberalization of the labor code, which would also have longer-term benefits in terms of encouraging private sector growth (see above). While such an extension would have to be accompanied by institutional improvements in collection and enforcement, the much higher levels of formal employment in neighboring countries, such as Chile and Uruguay, suggest that such an extension is quite feasible.

Increasing Access to Services. A major effort should be undertaken to raise the level and quality of **education** available to the poor, and increase their access to secondary and higher education. One of the key problems is that children of poor families are more likely to drop out of school for various reasons. A viable strategy in education would include:

- greater investments in secondary schools in poor neighborhoods, such as by extending the present *Plan Social Educativo*;
- expanded cash grants to poor families conditional on keeping children in school particularly at the secondary level, in order to offset the economic incentives from school leaving and the effects of unemployment;
- the establishment of a system of partial cost recovery from students at public universities, who generally tend to be from non-poor families, and the establishment of a nation-wide system of scholarships for students from poor families.
- expanding the capacity of the current public university system, both by improvements in operating efficiency and through further investments.

While the situation in **health** is less critical, greater efficiency in the health sector could improve the quality of service available to the poor. Particularly, the Government should focus public health care expenditures on those without health insurance, by improving cost recovery from those with insurance and the ability to pay, and by improving the operating efficiency of the public hospital system. While granting more autonomy to public hospitals can improve their efficiency, care needs to be taken to avoid building in incentives that will reduce services to the poor. Eventually, health insurance coverage should be extended to those in the informal sector not presently covered. Existing programs of maternal and child health (PROMIN) need to be expanded, and linked with family planning and reproductive health services for the poor, in order to reduce their currently high rate of fertility among the poor.

Deficiencies in **infrastructure** both reduce the productivity of the poor, and limit human resource development. The urban poor live in areas usually devoid of adequate sanitation and safe water, and often without paved roads. Provision of such public services in poor neighborhoods can improve health outcomes. But attention also needs to be focused on building up communities, especially in urban areas, that lack roads, lights, and other services, and do not have legal titles to their land. The urban poor are particularly vulnerable to problems of crime and violence, and attention needs to be paid to alcohol and drug abuse, and improvements in police protection and access to justice. With the privatization of infrastructure services, regulated pricing of services needs to be reviewed to that an implicit cross-subsidies between users benefit the poor. Cross-subsidies that reduce the costs of connection charges for water and gas would be one useful mechanism provided it was properly targeted.

Table 4.1 Economic Shocks – GDP Growth , Exchange Rates and Unemployment

	Year relative to crisis						
Country and crisis year	-3	-2	-1	0	1	2	3
GDP growth (percent)							
Argentina, 2002	**-3.4**	**-0.8**	**-4.4**	**-10.9**			
Indonesia, 1998	8.4	7.6	4.7	-13.1	0.8	4.9	3.1
Korea, 1998	8.9	6.7	5.0	-6.7	10.9	9.3	3.0
Malaysia, 1998	9.8	10.0	7.3	-7.4	6.1	8.3	0.4
Russia, 1998	-4.1	-3.4	0.9	-4.9	5.4	8.3	
Thailand, 1997	8.9	9.3	5.9	-1.4	-10.8	4.6	4.7
Argentina, 1995	11.9	5.9	5.8	-2.8	5.5	8.1	3.8
México, 1995	3.6	1.9	4.4	-6.2	5.1	6.8	5.0
Chile, 1982	8.7	8.1	4.7	-10.3	-3.8	8.0	7.1
Change in exchange rate (percent)							
Argentina, 2002	**0.0**	**0.0**	**0.0**	**210.0**			
Indonesia, 1998	3.9	4.0	19.5	70.9	-27.5	6.7	12.3
Korea, 1998	-4.2	4.1	15.4	32.1	-17.9	-5.1	11.9
Malaysia, 1998	-4.8	0.5	10.6	28.3	-3.3	0	0
Russia, 1998	11.0	11.5	40.4	60.6	12.5	3.6	11.0
Thailand, 1997	-0.7	-0.9	1.7	19.2	24.2	-9.4	5.7
Argentina, 1995	3.7	0.0	0.0	0.0	0.0	0.0	0.0
México, 1995	2.5	0.7	7.7	47.4	15.5	4.0	13.3
Chile, 1982	17.7	4.7	0.0	30.5	54.8	25.00	63.3
Open Unemployment Rates							
Argentina, 2002 [50]	**14.2**	**15.1**	**17.4**	**19.7**			
Indonesia, 1998		4.1	4.7	5.4	6.4	6.1	
Korea, 1998	2.0	2.0	2.6	6.8	6.3	4.1	
Malaysia, 1998	3.1	2.5	2.5	3.2	3.4	3.1	3.9
Russia, 1998	9.5	9.7	11.8	13.3	13.4	11.4	9.5
Thailand, 1997	1.1	1.1	0.9	3.7	5.2	3.0	2.4
Argentina, 1995	7.0	9.3	12.2	16.6	17.3	13.7	12.4
México, 1995	3.1	3.2	4.2	5.7	4.3	3.4	2.9
Chile, 1982	13.6	10.4	11.3	19.6	14.6	13.9	12.1

Source: From World Bank SIMA databank, following similar work by Fallon and Lucas (2002)

Scenarios for Recovery and Long-Term Poverty Reduction

It is difficult to estimate the nature of a possible recovery path for the economy, given uncertainties in many areas. Table 4.1 gives some comparative data for eight countries emerging from crises in recent years. It shows that for most countries, the year of the severest recession was typically followed by a year of substantial growth. On average, the year after recession in the sample in Table 4.1 shows a positive growth rate, except in those countries (Chile, 1982; Malaysia, 1997) where the crisis lasted two years. By the second year, all countries in the sample show positive growth, averaging here about 7% in the second year and about 4 % in the third (however, remember that this is a small sample of countries). In terms of exchange rates, no clear pattern emerges. While some countries show exchange rate appreciation, others show

[50] Average of May and October EPH surveys.

continued exchange rate depreciation. Unemployment, however, seems to be relatively stable despite the recovery in most countries, showing no tendency to decline markedly despite rapid GDP growth.

For the current year, most forecasts estimate a recovery of GDP of about 4% for the economy. In following years, if the historical record is any guide, growth could be strong. However, forecasts here are difficult to make, and a great deal depends on the economic program of the new administration that took over in May 2003.

Poverty Measurement

For many years, Argentina has suffered from a lack of information on income and social conditions in rural areas. As poverty is likely higher in these areas, and these areas are probably underserved by government services, their exclusion from the survey tends to understate the magnitude of the poverty problem and distorts the calculation of income distribution. In fact, INDEC has plans to extend the EPH to rural areas, starting with surveys to be undertaken in 2004. Work is also being done to develop regional prices indices. However, poverty measurement should move from income measures to a consumption aggregate measure that would give a more accurate measure of welfare, and be less prone to temporary fluctuations. A new expenditure survey is planned for 2004 that will include rural areas. Expenditures surveys need to be undertaken on a more regular basis, perhaps annually. For a fuller discussion of these issues, see Background Paper No. 8 by Haeduck Lee.

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STATISTICAL ANNEX

Table

A.1 Poverty Rates, Poverty Gap, and Severity of Poverty in Urban Argentina, 1990-2002
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Table A.1: Poverty Rates, Poverty Gap, and Severity of Poverty in Urban Argentina, 1990-2002

		Gran Buenos Aires		Urban Argentina			
Year	Month	Extreme Poverty	Poverty Headcount	Extreme Poverty	Poverty Headcount	Poverty Gap (FGT α=1)	Severity of Poverty (FGT α=2)
1990	May	12.5	42.5	12.6	42.7	18.0	10.4
	October	6.6	33.7	9.9	38.1	14.6	7.8
1991	May	5.1	28.9	5.7	30.1	10.9	5.7
	October	3.0	21.5	4.5	24.9	8.4	4.2
1992	May	3.3	19.3	4.8	23.9	8.1	4.2
	October	3.2	17.8	4.5	22.0	7.5	3.9
1993	May	3.6	17.7	4.7	21.5	7.7	4.2
	October	4.4	16.8	5.0	20.6	7.5	4.1
1994	May	3.3	16.1	4.3	20.1	7.2	4.0
	October	3.5	19.0	4.6	22.4	8.2	4.5
1995	May	5.7	22.2	6.8	26.1	10.3	6.0
	October	6.3	24.8	7.6	28.7	11.4	6.6
1996	May	6.9	26.7	8.2	30.1	12.3	7.3
	October	7.5	27.9	9.1	31.5	13.1	7.8
1997	May	5.7	26.3	7.3	30.0	12.0	6.8
	October	6.4	26.0	7.8	29.5	11.9	6.9
1998	May	5.3	24.3	7.1	28.8	11.2	6.3
	October	6.9	25.9	8.5	30.2	12.4	7.2
1999	May	7.6	27.1	8.9	31.3	12.8	7.5
	October	6.7	26.7	8.3	30.6	12.5	7.3
2000	May	7.5	29.7	9.0	33.4	14.0	8.1
	October	7.7	28.9	9.6	32.8	14.2	8.4
2001	May	10.3	32.7	11.6	35.9	16.1	9.9
	October	12.2	35.4	13.6	38.3	18.1	11.6
2002	May	22.7	49.7	24.8	53.0	28.5	19.5
	October	24.7	54.3	27.5	57.5	29.2	18.9

Sources: INDEC, *Encuesta Permanente de Hogares (EPH)*, 1990-2002.

Table A.2: Labor Force Participation and Unemployment Rate by Poverty Group, 1990-2002

		Labor Force Participation (population of age 15-64)				Unemployment Rate			
Year	Month	Indigent	Moderate poor	Non-poor	All Urban Areas	Indigent	Moderate poor	Non-poor	All Urban Areas
1990	May	53.7	52.2	65.7	60.7	32.4	13.9	4.5	9.3
	October	47.4	53.5	65.0	60.7	26.3	10.2	3.8	6.3
1991	May	48.8	48.3	64.8	60.6	34.6	12.8	5.1	6.9
	October	46.4	49.0	64.3	61.0	33.6	12.2	4.1	6.0
1992	May	46.7	49.7	64.7	61.6	36.2	13.7	5.0	6.9
	October	49.0	50.0	65.1	62.3	38.0	17.6	5.1	7.0
1993	May	49.3	52.8	66.5	63.9	51.3	20.6	7.4	9.9
	October	48.1	51.0	65.1	62.6	47.8	19.6	7.1	9.3
1994	May	51.7	53.1	65.8	63.6	50.3	23.2	7.9	10.7
	October	48.7	53.8	65.7	63.3	55.4	24.8	8.9	12.2
1995	May	56.4	58.9	67.3	65.3	58.7	32.6	14.0	18.4
	October	55.2	56.7	66.3	63.8	51.8	28.0	12.0	16.6
1996	May	55.1	56.5	65.4	62.9	50.8	29.1	11.8	17.1
	October	58.1	57.8	66.2	63.9	51.6	28.4	12.0	17.3
1997	May	58.5	57.2	67.0	64.5	49.2	27.5	11.5	16.1
	October	55.8	56.4	67.1	64.3	41.4	23.8	9.8	13.7
1998	May	54.2	56.7	67.5	64.6	41.2	23.9	9.5	13.2
	October	54.0	56.1	67.0	64.0	43.7	22.2	8.3	12.4
1999	May	56.5	56.4	67.7	64.6	44.0	24.6	10.1	14.5
	October	53.3	55.9	67.7	64.4	43.6	23.3	10.0	13.8
2000	May	54.6	56.3	67.2	63.9	43.6	26.2	11.0	15.4
	October	56.0	57.0	67.9	64.6	44.4	24.1	10.2	14.7
2001	May	55.2	56.8	68.4	64.4	46.4	24.8	10.9	16.4
	October	55.3	57.7	67.3	63.7	46.8	27.7	12.0	18.3
2002	May	57.0	58.5	68.2	63.0	44.5	25.2	12.5	21.5
	October	59.2	62.2	69.8	64.9	34.9	20.7	9.7	17.8

Sources: INDEC, *Encuesta Permanente de Hogares (EPH)*, 1990-2002

Table A.3: Labor Force Participation and Unemployment Rate by Gender, 1990-2002

		Labor Force Participation (population of age 15-64)			Unemployment Rate		
Year	Month	Male	Female	All Gender	Male	Female	All Gender
1990	May	81.4	42.0	60.7	9.3	9.5	9.3
	October	81.6	42.2	60.7	6.3	7.0	6.3
1991	May	80.8	42.4	60.6	7.2	8.1	6.9
	October	81.0	43.1	61.0	5.6	6.8	6.0
1992	May	81.3	43.9	61.6	6.4	8.1	6.9
	October	81.9	44.5	62.3	7.2	8.1	7.0
1993	May	81.9	47.5	63.9	8.8	12.4	9.9
	October	81.6	45.2	62.6	8.1	12.2	9.3
1994	May	82.0	46.5	63.6	9.4	13.0	10.7
	October	81.6	46.2	63.3	10.7	14.8	12.2
1995	May	82.4	49.6	65.3	16.4	22.9	18.4
	October	81.1	47.7	63.8	15.2	19.4	16.6
1996	May	80.4	46.7	62.9	15.7	19.6	17.1
	October	81.3	47.7	63.9	15.9	20.8	17.3
1997	May	81.3	48.8	64.5	14.2	19.8	16.1
	October	80.8	48.9	64.3	12.0	17.0	13.7
1998	May	81.6	49.0	64.6	12.5	15.0	13.2
	October	81.0	48.5	64.0	11.5	14.5	12.4
1999	May	80.3	50.2	64.6	13.9	15.9	14.5
	October	80.2	49.9	64.4	13.1	15.9	13.8
2000	May	79.4	49.8	63.9	14.9	17.8	15.4
	October	79.8	50.8	64.6	13.7	17.1	14.7
2001	May	80.0	50.2	64.4	16.4	17.2	16.4
	October	79.3	49.4	63.7	19.2	18.6	18.3
2002	May	78.6	48.8	63.0	23.2	21.1	21.5
	October	78.8	52.4	64.9	18.5	5.2	17.8

Sources: INDEC, *Encuesta Permanente de Hogares (EPH)*, 1990-2002

Table A.4: Changes in Income Distribution in Urban Argentina, 1990-2002

Per capita household income	YEAR 1990 Oct.	1992 Oct.	1994 Oct.	1996 Oct.	1998 Oct.	1999 Oct.	2000 Oct.	2001 Oct.	2002 May	2002 Oct.
Average income (in 1999 pesos)										
Overall	240.3	292.7	302.8	270.4	294.8	280.6	275.7	253.3	189.7	176.8
1	38.3	45.6	43.2	28.1	31.7	30.4	26.3	17.1	9.0	16.1
2	73.3	87.3	85.2	67.9	70.1	68.8	62.2	49.7	31.6	34.2
3	96.8	117.7	116.2	96.9	100.3	98.3	89.9	77.0	51.6	52.3
4	122.2	150.3	149.7	125.9	132.3	128.4	119.8	104.0	73.7	72.5
5	153.5	181.1	188.1	158.1	167.3	164.2	155.1	136.3	97.9	95.8
6	187.2	223.8	229.9	198.7	209.5	206.1	197.8	176.4	129.7	121.8
7	227.1	276.3	285.0	249.8	267.8	260.5	251.2	228.0	170.1	155.6
8	287.1	351.8	367.4	326.3	353.5	340.1	336.2	306.3	228.6	207.8
9	391.5	487.8	502.0	460.0	500.9	480.6	476.8	444.4	334.7	306.3
10	825.5	1,004.7	1,060.4	992.3	1,114.2	1,028.2	1,041.9	993.8	769.9	705.3
Income share (%)										
1	1.6	1.6	1.4	1.0	1.1	1.1	1.0	0.7	0.5	0.9
2	3.1	3.0	2.8	2.5	2.4	2.5	2.3	2.0	1.7	1.9
3	4.0	4.0	3.8	3.6	3.4	3.5	3.3	3.0	2.7	3.0
4	5.1	5.1	4.9	4.7	4.5	4.6	4.3	4.1	3.9	4.1
5	6.4	6.2	6.2	5.8	5.7	5.9	5.6	5.4	5.2	5.4
6	7.8	7.6	7.6	7.3	7.1	7.3	7.2	7.0	6.8	6.9
7	9.5	9.4	9.4	9.2	9.1	9.3	9.1	9.0	9.0	8.8
8	11.9	12.0	12.1	12.1	12.0	12.1	12.2	12.1	12.1	11.8
9	16.3	16.7	16.6	17.0	17.0	17.1	17.3	17.5	17.6	17.3
10	34.4	34.3	35.0	36.7	37.8	36.6	37.8	39.2	40.6	39.9
Top 20% share	50.7	51.0	51.6	53.7	54.8	53.8	55.1	56.8	58.2	57.2
Bottom 20% share	4.6	4.5	4.2	3.6	3.5	3.5	3.2	2.6	2.1	2.8
Top/Bottom 20% ratio	11.0	11.3	12.3	14.9	15.7	15.4	17.2	21.8	27.7	20.4
Gini coefficient	0.454	0.456	0.467	0.493	0.504	0.494	0.510	0.530	0.551	0.532
Population represented by the sample (1,000)	14,715	16,079	17,920	17,772	20,674	20,581	20,920	20,882	20,967	21,360

Sources: INDEC, *Encuesta Permanente de Hogares (EPH)*, October of 1990, 1992, 1994, 1996, 1998, 1999, 2000, 2001, and May and October of 2002.

Table A.4: Changes in Income Distribution in Urban Argentina, 1990-2002 (Cont'd)

Per capita household income	YEAR 1990 Oct.	1992 Oct.	1994 Oct.	1996 Oct.	1998 Oct.	1999 Oct.	2000 Oct.	2001 Oct.	2002 May	2002 Oct.
Average income (in 1999 pesos)										
Overall	240.3	292.7	302.8	270.4	294.8	280.6	275.7	253.3	189.7	176.8
1	38.3	45.6	43.2	28.1	31.7	30.4	26.3	17.1	9.0	16.1
2	73.3	87.3	85.2	67.9	70.1	68.8	62.2	49.7	31.6	34.2
3	96.8	117.7	116.2	96.9	100.3	98.3	89.9	77.0	51.6	52.3
4	122.2	150.3	149.7	125.9	132.3	128.4	119.8	104.0	73.7	72.5
5	153.5	181.1	188.1	158.1	167.3	164.2	155.1	136.3	97.9	95.8
6	187.2	223.8	229.9	198.7	209.5	206.1	197.8	176.4	129.7	121.8
7	227.1	276.3	285.0	249.8	267.8	260.5	251.2	228.0	170.1	155.6
8	287.1	351.8	367.4	326.3	353.5	340.1	336.2	306.3	228.6	207.8
9	391.5	487.8	502.0	460.0	500.9	480.6	476.8	444.4	334.7	306.3
10	825.5	1,004.7	1,060.4	992.3	1,114.2	1,028.2	1,041.9	993.8	769.9	705.3
Income index (base=1999)										
Overall										
1	85.6	104.3	107.9	96.4	105.1	100.0	98.3	90.3	67.6	63.0
2										
3	126.0	150.0	142.1	92.4	104.3	100.0	86.5	56.3	29.6	53.0
4	106.5	126.9	123.8	98.7	101.9	100.0	90.4	72.2	45.9	49.7
5	98.5	119.7	118.2	98.6	102.0	100.0	91.5	78.3	52.5	53.2
6	95.2	117.1	116.6	98.1	103.0	100.0	93.3	81.0	57.4	56.5
7	93.5	110.3	114.6	96.3	101.9	100.0	94.5	83.0	59.6	58.3
8	90.8	108.6	111.5	96.4	101.6	100.0	96.0	85.6	62.9	59.1
9	87.2	106.1	109.4	95.9	102.8	100.0	96.4	87.5	65.3	59.7
10	84.4	103.4	108.0	95.9	103.9	100.0	98.9	90.1	67.2	61.1
Population represented by the sample (1,000)	14,715	16,079	17,920	17,772	20,674	20,581	20,920	20,882	20,967	21,360

Sources: INDEC, *Encuesta Permanente de Hogares (EPH)*, October of 1990, 1992, 1994, 1996, 1998, 1999, 2000, 2001, and May and October of 2002.

Table A.5: Changes in Extreme Poverty by Region, 1990-2002

Year	Month	GBA	Northwest	Northeast	Cuyo	Pampeana	Patagonia	All Regions
1990	May	12.5	19.1	19.1	14.6	9.3	11.9	12.6
	October	6.6	10.2	17.1	8.8	5.9	4.1	9.9
1991	May	5.1	8.7	12.0	4.2	4.6	6.3	5.7
	October	3.0	8.5	12.5	4.9	4.0	4.6	4.5
1992	May	3.3	9.7	10.9	6.1	4.5	4.3	4.8
	October	3.2	9.2	11.4	4.2	4.1	5.5	4.5
1993	May	3.6	8.6	10.6	4.1	4.5	5.4	4.7
	October	4.4	8.5	9.4	3.5	4.6	3.7	5.0
1994	May	3.3	8.4	11.1	3.4	4.2	5.2	4.3
	October	3.5	7.6	10.4	3.9	5.1	5.7	4.6
1995	May	5.7	8.4	11.0	5.6	8.5	5.5	6.8
	October	6.3	11.2	12.6	8.6	7.5	7.2	7.6
1996	May	6.9	11.6	14.8	7.8	8.5	7.0	8.2
	October	7.5	13.1	17.9	8.8	10.1	7.6	9.1
1997	May	5.7	10.9	14.8	9.2	7.5	6.0	7.3
	October	6.4	11.8	15.0	8.7	7.8	6.2	7.8
1998	May	5.3	11.7	15.0	6.8	7.6	6.5	7.1
	October	6.9	11.7	17.7	7.6	8.5	8.0	8.5
1999	May	7.6	12.9	17.7	8.0	8.0	6.9	8.9
	October	6.7	11.0	17.6	7.3	8.4	7.5	8.3
2000	May	7.5	12.2	18.6	8.3	8.8	7.6	9.0
	October	7.7	13.3	19.8	10.7	9.0	7.2	9.6
2001	May	10.3	14.4	22.9	11.0	11.3	6.9	11.6
	October	12.2	16.2	26.9	12.2	13.7	7.3	13.6
2002	May	22.7	29.5	38.8	24.7	25.1	15.4	24.8
	October	24.7	35.1	41.9	29.7	27.2	21.0	27.5
% Change (October to October):								
1990-1994		-47.0%	-25.5%	-39.2%	-55.7%	-13.6%	39.0%	-53.5%
1994-1998		97.1%	53.9%	70.2%	94.9%	66.7%	40.4%	84.8%
1998-2002		258.0%	200.0%	136.7%	290.8%	220.0%	162.5%	223.5%
1990-2002		274.2%	244.1%	145.0%	237.5%	361.0%	412.2%	177.8%

Sources: INDEC, Encuesta Permanente de Hogares (EPH), 1990-2002.
Note: % changes are measured for four-year intervals from October of the base year to October of the end year.

Table A.6: Changes in Poverty Rate by Region, 1990-2002

Year	Month	GBA	Northwest	Northeast	Cuyo	Pampeana	Patagonia	All Regions
1990	May	42.5	52.5	54.5	46.9	37.5	35.5	42.7
	October	33.7	43.5	50.5	37.2	27.2	16.3	38.1
1991	May	28.9	39.0	47.7	30.1	25.5	22.4	30.1
	October	21.5	38.8	44.7	28.2	21.5	17.9	24.9
1992	May	19.3	37.1	43.8	28.9	23.6	19.0	23.9
	October	17.8	36.9	42.6	24.1	20.4	18.2	22.0
1993	May	17.7	35.6	40.8	24.4	20.6	18.4	21.5
	October	16.8	35.4	38.6	22.1	19.8	14.9	20.6
1994	May	16.1	35.5	39.6	21.4	20.1	16.4	20.1
	October	19.0	37.2	40.8	22.8	21.0	18.3	22.4
1995	May	22.2	37.2	43.8	29.2	27.1	18.9	26.1
	October	24.8	41.5	45.3	36.0	27.2	22.2	28.7
1996	May	26.7	44.2	46.2	31.3	29.2	20.8	30.1
	October	27.9	44.3	50.2	34.9	30.9	22.9	31.5
1997	May	26.3	40.6	48.8	36.4	29.2	22.0	30.0
	October	26.0	41.9	48.3	32.0	28.3	21.7	29.5
1998	May	24.3	40.1	48.5	32.8	28.6	21.0	28.8
	October	25.9	42.2	50.3	32.7	29.2	22.6	30.2
1999	May	27.1	45.5	50.2	33.8	29.3	22.3	31.3
	October	26.7	41.2	50.6	33.3	29.3	24.5	30.6
2000	May	29.7	44.5	53.0	36.5	30.8	23.1	33.4
	October	28.9	43.6	53.1	39.2	30.4	24.3	32.8
2001	May	32.7	47.5	56.6	38.6	33.8	23.9	35.9
	October	35.4	48.3	57.2	39.6	37.1	23.2	38.3
2002	May	49.7	63.5	69.8	54.9	52.7	39.1	53.0
	October	54.3	69.4	71.5	61.3	56.7	45.6	57.5
% Change (October to October):								
1990-1994		-43.6%	-14.5%	-19.2%	-38.7%	-22.8%	12.3%	-41.2%
1994-1998		36.3%	13.4%	23.3%	43.4%	39.0%	23.5%	34.8%
1998-2002		109.7%	64.5%	42.1%	87.5%	94.2%	101.8%	90.4%
1990-2002		61.1%	59.5%	41.6%	64.8%	108.5%	179.8%	50.9%

Sources: INDEC, Encuesta Permanente de Hogares (EPH), 1990-2002.
Note: % changes are measured for four-year intervals from October of the base year to October of the end year.

Table A.7: Employment and Under-Employment by Poverty Group, 1990-2002

		% Working less than 10 Hours per week				% Working between 10-30 Hours per week				% Working more than 30 Hours per week			
Year	Month	Indigent	Moderate poor	Non-poor	All Urban Areas	Indigent	Moderate poor	Non-poor	All Urban Areas	Indigent	Moderate poor	Non-poor	All Urban Areas
1990	May	1.7	0.8	0.8	0.9	16.5	12.5	10.8	11.7	46.4	69.4	81.4	75.3
	October	3.3	1.1	1.0	1.2	10.9	11.7	11.6	11.5	57.0	74.4	80.9	78.0
1991	May	2.2	1.9	1.1	1.3	15.4	11.3	12.0	12.0	43.8	71.3	78.9	76.3
	October	3.4	1.3	1.0	1.1	11.9	10.9	11.5	11.5	48.1	72.9	80.6	78.7
1992	May	2.3	2.6	1.3	1.5	14.2	12.8	12.1	12.2	43.7	68.2	78.9	76.5
	October	4.7	2.0	1.2	1.4	14.9	11.5	11.7	11.8	38.0	66.4	79.8	77.1
1993	May	4.0	3.5	1.8	2.0	10.9	12.0	11.9	11.9	31.3	60.9	76.2	73.1
	October	4.5	2.5	1.4	1.6	13.9	12.9	11.6	11.8	31.2	61.2	77.1	74.0
1994	May	5.3	2.9	1.9	2.1	14.6	12.4	12.1	12.2	27.8	59.6	75.8	72.7
	October	5.2	4.2	1.7	2.1	10.4	12.8	11.6	11.7	27.6	56.7	75.6	71.8
1995	May	4.8	2.9	1.7	2.0	10.3	12.2	11.7	11.7	23.8	50.0	70.3	65.0
	October	6.8	4.3	2.0	2.7	14.9	14.5	12.2	12.7	24.5	51.3	71.0	65.3
1996	May	6.0	3.9	2.0	2.6	13.7	12.6	12.2	12.3	28.9	52.8	71.8	65.8
	October	4.7	4.4	2.4	2.9	15.5	14.1	11.8	12.5	27.2	51.1	71.4	64.6
1997	May	7.7	4.9	2.3	3.1	13.2	12.8	12.2	12.4	28.3	53.1	71.7	66.1
	October	8.8	4.4	2.3	3.0	15.9	15.4	12.0	12.8	32.3	54.1	73.6	68.0
1998	May	6.2	5.1	2.5	3.1	18.7	14.1	12.6	13.2	32.1	54.1	73.4	68.2
	October	7.0	5.4	2.4	3.1	17.6	15.5	12.8	13.6	30.2	55.0	74.1	68.4
1999	May	8.7	4.3	2.4	3.1	18.3	15.4	12.6	13.4	27.0	53.2	72.6	66.3
	October	7.0	5.4	2.7	3.4	18.4	15.2	13.0	13.7	29.4	54.0	72.2	66.6
2000	May	9.1	5.6	2.7	3.7	17.6	16.0	12.5	13.5	26.5	50.0	71.3	64.2
	October	9.7	6.5	2.4	3.6	15.9	16.4	12.9	13.8	27.7	51.3	72.0	65.1
2001	May	8.7	5.3	2.9	3.8	18.3	15.7	12.6	13.7	24.3	52.2	71.3	63.5
	October	8.7	5.8	3.1	4.3	18.3	18.1	13.5	15.0	24.3	46.2	68.9	59.4
2002	May	9.0	5.5	2.5	4.6	20.9	17.7	14.4	16.6	23.7	49.4	68.0	54.1
	October	7.0	4.4	2.6	4.1	30.8	21.5	14.9	20.5	25.5	51.5	71.0	55.1

Sources: INDEC, Encuesta Permanente de Hogares (EPH), 1990-2002

Table A.8: Poverty Profile in Urban Argentina, 2002

	Poverty Group			Overall
	Indigent	Moderate poor	Non-poor	
Family size	4.9	4.0	2.7	3.5
Adult equivalent family size	3.8	3.2	2.2	2.8
% female-headed households	24.0	22.8	32.1	28.1
Average age	23.3	29.2	38.0	31.3
Years of schooling among adults aged 20 and over	7.9	9.3	11.7	10.2
Labor force participation(among those of age 15-64)	59.2	62.2	69.8	64.9
% informal sector	39.0	39.5	33.2	36.3
Unemployment rate	34.9	20.7	9.7	17.8
Hours worked	29.1	38.6	42.0	38.7
% working < 30 hrs/week	37.8	25.9	17.5	24.6

Sources: INDEC, Encuesta Permanente de Hogares (EPH), October 2002.

Table A.9 Poverty Rate by Age Group and Gender in Urban Argentina, 2002

Age Group	Total population		Female population	
	% indigent	% poor	% indigent	% poor
Total	27.4	57.5	26.7	56.1
0-4	40.0	71.4	42.3	72.9
5-14	42.0	74.9	40.9	74.1
15-19	37.6	70.2	35.5	69.0
Sub-total, 0-19	40.4	72.9	39.8	72.5
20-34	23.1	53.7	23.4	53.6
35-49	25.5	55.5	25.1	55.2
50-64	18.0	44.6	16.7	42.5
Sub-total, 20-64	22.7	52.2	22.4	51.6
65 & older	7.1	30.4	6.5	27.2

Sources: INDEC, Encuesta Permanente de Hogares (EPH), October 2002.